NEPAL RASTRA BANK ACT, 2058 (2002)

Act No. 15 of the year 2058

(Unofficial Translation)

	Particulars	Date (BS)
	Date of Royal Seal and Publication	2058.10.17
	Acts amending this Act: (Date of Royal Seal / Authentication and Publication)	
1	Nepal Rastra Bank (First Amendment) Act, 2063[1]	2063.07.23
2	Republic Strengthening and Some Nepal Laws Amendment Act, 2066	2066.10.07
3	Some Nepal Acts Amendment Act, 2072	2072.11.13
4	Nepal Rastra Bank (Second Amendment) Act, 2073	2073.07.29
5	Act Amending, Integrating, Adjusting and Repealing Some Nepal Laws, 2074[2]	2074.06.30
6	Payment and Settlement Act, 2075	2075.12.04
7	Act Amending Some Nepal Acts relating to Muluki Codes, 2075	2076.01.02
8	Act Amending Some Acts relating to Prevention of Money Laundering (Money Laundering) and Promotion of Business Environment, 2080	2080.12.30
9	Act Amending Some Nepal Acts relating to Cooperatives, 2081	2081.12.18

.....[3]

An Act Made to Establish the Nepal Rastra Bank to Carry Out the Functions of the Central Bank

Preamble: Whereas, it is expedient to establish the Nepal Rastra Bank as the central bank in order to maintain the stability of price and balance of payments and the stability of the overall financial sector so as to support the [4]sustainable development of the economy of Nepal[5].....;

Now, therefore, be it enacted by Parliament in the First Year of the Reign of His Majesty King Gyanendra Bir Bikram Shah Dev.

[1]This Act shall be deemed to have commenced from 24 Bhadra 2063, as provided in Sub-section (2) of Section 1 thereof.

[2]This Act came into force from 1 Bhadra 2075.

[3]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

[4]Amended by the Nepal Rastra Bank (Second Amendment) Act, 2073.

[5]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

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Chapter-1
Preliminary

1. Short title and commencement:–

(1) This Act may be called the "Nepal Rastra Bank Act, 2058 (2002)".

(2) This Act shall come into force immediately.

2. Definitions:–

Unless the subject or the context otherwise requires, in this Act,–

(a) "Bank" means the Nepal Rastra Bank established under Section 3.

(b) "Board" means the Board of Directors of the Bank formed under Section 14.

(c) "Director" means a member of the Board, and this term also includes the Governor and Deputy Governor.

(d) "Governor" means the Governor of the Bank appointed under Section 15.

(e) "Deputy Governor" means the Deputy Governor of the Bank appointed under Section 16.

(f) "Commercial bank" means a commercial bank established under the prevailing law.

(g) "Financial institution" means a financial institution established under the prevailing law with the objective of providing credit for agricultural, cooperative, industrial or any other specific economic purpose or of collecting deposits from the general public, and this term also includes an institution designated as a financial institution by the Government of Nepal by publishing a notice in the Nepal Gazette.

(h) "Money" means all types of currency notes, postal orders, postal notes, money orders, cheques, drafts, traveller's cheques, letters of credit, bills of exchange, promissory notes and credit cards, and this term also includes other monetary instruments of a similar nature designated by the Bank, as required, by publishing and broadcasting a public notice.

(i) "Currency note" means a bank note in circulation in the form of cash, and this term also includes a coin.

(j) "Foreign currency" means a currency other than the Nepalese currency, and this term also includes the special drawing rights of the International Monetary Fund, the Asian Currency Unit, the European Currency Unit and other instruments designated by the Bank, as required, by publishing and broadcasting a public notice.

(k) "Nepalese currency" means the currency denominated in Nepalese rupees.

(l) "Convertible foreign currency" means a foreign currency designated by the Bank, as required, as a convertible foreign currency by publishing and broadcasting a public notice.

(m) "Foreign exchange" means foreign currency, all types of deposits, credits and balances payable or receivable in foreign currency, foreign securities, and cheques, drafts, traveller's cheques, electronic fund transfers, credit cards, letters of credit, bills of exchange and promissory notes in international usage which are payable or may be payable in foreign currency, and this term also includes any other monetary instrument designated by the Bank, as required, by publishing and broadcasting a public notice.

(n) "Foreign exchange transaction" means the act of purchasing and selling foreign exchange, borrowing or lending, or taking or giving foreign exchange by any other means, and this term also includes the act of the Bank giving approval for foreign exchange conversion.

(o) "Licence holder" means a person, firm, company or institution that has obtained a licence from the Bank to carry on foreign exchange transactions.

(p) "Letter of credit" means a letter written by one bank to another bank to accept cheques, drafts, hundis or bills of exchange drawn by a named person up to a specified amount.

(q) "Securities" means shares, stocks, bonds, debentures or debenture stocks issued by a corporate body, or certificates relating to a unit savings scheme or collective savings scheme issued by a corporate body under the prevailing law, or transferable certificates of deposit, and this term also includes securities designated by the Government of Nepal by publishing a notice in the Nepal Gazette, receipts relating to the pledge of securities, and rights and interests relating to securities.

(r) "Negotiation" means the act of transferring a negotiable instrument in such a manner that the person entitled to receive it may become its holder.

(s) "Negotiable instrument" means a promissory note, a bill of exchange or a cheque.

(t) "Bill of exchange" means a signed instrument by which one person directs another person to pay, without condition, a certain sum on a specified date, or after a certain period, or on demand, to a specific person named in the instrument, or to a person ordered by him or her, or to the bearer of the instrument.

(u) "Promissory note" means a signed instrument by which a person undertakes to pay, without condition, a certain sum on a specified date or on demand to a specific person named in the instrument, or to a person ordered by him or her, or to the bearer of the instrument.

(v) "Cheque" means a bill of exchange drawn on a bank to be paid on demand.

(w) "Credit" means a direct or indirect commitment to invest money and, in return, the right to recover the amount so invested together with the payment of interest or other charges on such credit, refinance provided against a credit or investment,

restructuring and renewal of credit, a guarantee issued for the repayment of credit and any other commitment made for such repayment, and this term also includes any kind of loan.

(x) "Account" means the records, ledgers and books maintained under the prevailing law so as to show the details of transactions, and this term also includes other documents certifying such transactions.

(y) "Debt security" means any negotiable instrument carrying indebtedness, and this term also includes any other similar instrument carrying indebtedness in book-entry or certificated form.

(z) "Monetary liability" means the bank notes and coins in circulation shown in the balance sheet of the Bank.

(aa) "International accounting standard" means an accounting standard of international level.

(ab) "Employee" means a person holding any post of the Bank.

[6](ab1) "Court" means the commercial bench of the High Court designated by the Government of Nepal, in consultation with the Supreme Court, by publishing a notice in the Nepal Gazette.

[7](ab2) "Special Administration Team" means the Special Administration Team formed under Section 88B.

(ac) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules or Byelaws framed under this Act.

Chapter-2
Establishment, Objectives and Functions, Duties and Powers

3. Establishment of the Bank:–

(1) A central bank named the Nepal Rastra Bank shall be established to carry out the functions of a central bank.

(2) The Nepal Rastra Bank established under the Nepal Rastra Bank Act, 2012 (1955) shall be deemed to have been established under this Act.

(3) The Bank shall be an autonomous and corporate body with perpetual succession.

(4) The Bank shall have a separate seal of its own for its functions.

(5) The Bank may, subject to this Act, acquire, use, hold, sell and dispose of, and otherwise manage, movable and immovable property.

[6]Inserted by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[7]Inserted by the Nepal Rastra Bank (Second Amendment) Act, 2073.

(6) The Bank may sue in its own name and may also be sued in the same name.

(7) The central office of the Bank shall be located in Kathmandu, and the Bank may, as required, open branches, sub-branches and other offices at any place within or outside Nepal[8]..... and appoint agents or representatives.

4. Objectives of the Bank:–

(1) The objectives of the Bank shall be as follows:–

(a) [9]To formulate necessary monetary and foreign exchange policies in order to maintain the stability of price and balance of payments for economic stability and sustainable development of the economy, and to manage the same,

[10](b) To enhance access to financial services and maintain the stability of the banking and financial sector, and thereby enhance the public confidence towards the banking and financial system,

(c) To develop a secure, healthy and efficient payment system,

(d) [11].....

(e) [12].....

(2) The Bank shall, without causing any adverse effect on the objectives under Sub-section (1), extend cooperation in the implementation of the economic policy of the Government of Nepal.

5. Functions, duties and powers of the Bank:–

(1) The functions, duties and powers of the Bank for achieving the objectives under Section 4 shall be as follows:–

(a) To issue bank notes and coins,

(b) To formulate the monetary policy necessary for maintaining price stability, and to implement or cause to be implemented such policy,

(c) To formulate the foreign exchange policy and to implement or cause to be implemented such policy,

(d) To determine the exchange rate system,

(e) To manage and operate the foreign exchange reserves,

[8]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.
[9]Inserted by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[10]Amended by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[11]Omitted by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[12]Omitted by the Nepal Rastra Bank (Second Amendment) Act, 2073.

(f) To issue licences to commercial banks and financial institutions to carry on banking and financial transactions, and to carry out necessary regulation, inspection, supervision and monitoring in relation to such transactions,

[13](f1) To issue directives and standards in relation to the regulation, inspection and supervision of cooperative institutions carrying on savings and credit transactions,

[14](f2) To regulate, inspect and supervise, on the request of the Cooperative Department, cooperative institutions having share capital exceeding fifty crore rupees or having annual transactions equivalent to that amount, on the basis of financial governance and risk, by exercising also the powers under the prevailing law relating to cooperatives,

(g) To act as the banker, advisor and financial agent of the Government of Nepal,

(h) To act as the banker and lender of last resort of commercial banks and financial institutions,

(i) To establish and promote the payment, clearing and settlement system and to regulate such functions, and

[15](i1) To operate open market transactions through the instruments necessary for liquidity management,

(j) To carry out or cause to be carried out other functions necessary to be carried out by the Bank for achieving its objectives under this Act.

(2) The Bank shall also have the power to carry out other functions and actions required to exercise the powers conferred by this Act or other prevailing law.

(3) No one shall encroach upon the powers obtained by the Bank under this Act.

6. Prior right of the Bank:–

(1) For the purpose of recovering from a borrower any credit provided by the Bank to the borrower or any other claim of the Bank of any kind, the Bank shall have the prior right to secure its claim over the cash deposited in the account of such borrower maintained with the Bank or with any other commercial bank or financial institution, or over any other movable or immovable property of any kind in the name of such borrower.

(2) The Bank shall take into its possession the cash or movable or immovable property over which the Bank has the prior right under Sub-section (1), sell it as prescribed and recover its credit from the proceeds thereof.

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[13]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering (Money Laundering) and Promotion of Business Environment, 2080.

[14]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering (Money Laundering) and Promotion of Business Environment, 2080.

[15]Inserted by the Nepal Rastra Bank (Second Amendment) Act, 2073.

7. Functions not to be carried out by the Bank:–

(1) Except as provided in this Act, the Bank shall not carry out the following functions:–

(a) To provide any credit, accept deposits of any kind or give financial gifts of any kind,

(b) To purchase shares of any commercial bank, financial institution, public enterprise or company, or to acquire ownership rights of any kind in any financial, commercial, agricultural, industrial or other institution,

(c) To carry on trade of any kind, or

(d) To acquire rights over movable or immovable property by purchase, by taking on rent or by any other means.

Provided that the Bank may acquire property necessary for operating its transactions and management or for fulfilling its objectives.

(2) Notwithstanding anything contained in Sub-section (1), the Bank may carry out the following functions:–

(a) To provide credit to, or acquire ownership in the shares of, an institution carrying out functions which help the Bank to carry out its functions or fulfil its liabilities, without exceeding ten per cent of the total capital of such institution.

Explanation: For the purpose of this clause, "institution carrying out functions which help the Bank to carry out its functions or fulfil its liabilities" means an institution or company designated by the Bank, such as one that exclusively values, operates and protects the collateral of commercial banks or financial institutions, restructures and transfers collateral, carries out credit rating, exchanges credit information, processes and communicates data, prints financial instruments, carries out the clearing of payments, makes assets liquid, produces bank notes or coins or acts as a trustee.

(b) To provide credit to its employees.

8. Exemptions and facilities to the Bank:–

Notwithstanding anything contained in the prevailing law, the Bank shall be entitled to the following exemptions and facilities:–

(a) Exemption from all kinds of taxes, fees, duties, etc. on the income, capital transactions, houses and lands, assets and property of the Bank,

(b) No registration fee to be charged if a deed of credit or refinance provided by the Bank needs to be registered,

(c) No revenue stamp required to be affixed on any deed related to the Bank,

(d) No tax, fee, charge or duty of any kind to be levied on the export and import of the notes, coins, gold and silver of the Bank and of paper, metal, chemicals and other goods used for minting.

9. Relation between the Government of Nepal and the Bank:–

While maintaining relations with the Bank by the Government of Nepal and with the Government of Nepal by the Bank under this Act, such relations shall be maintained through the Ministry of Finance.

10. Coordination with public bodies:–

(1) The Bank shall make necessary coordination with public bodies or their agencies or bodies for achieving its objectives.

(2) The Bank shall, if so requested by the Government of Nepal, provide necessary information on balance of payments and banking and financial matters.

(3) The Government of Nepal, public bodies and the private sector shall, if so requested by the Bank, provide the Bank with necessary information on economic and financial matters.

11. International cooperation and relations:–

(1) The Bank shall represent Nepal[16]..... in international associations and institutions in relation to monetary policy, foreign exchange policy, balance of payments, bank supervision and other related matters within its jurisdiction.

(2) The Bank may provide banking and payment services to foreign governments, foreign central banks, foreign banks and international associations and institutions, and may also obtain similar facilities from them.

(3) The Bank shall participate in international associations and institutions working to achieve financial and economic stability through international monetary cooperation.

(4) While participating in international associations and institutions as the representative of Nepal[17]....., the Bank shall bear the responsibility to be borne and the functions to be performed on behalf of the country.

12. Flow of public information:–

The Bank shall regularly publish and broadcast publicly the information on its statistical analysis of matters such as macro-economy, development of financial markets, money supply, price stability, expansion of credit, balance of payments and foreign exchange.

13. Operation of accounts:–

The Bank may open and operate accounts for the Government of Nepal, other government bodies, commercial banks and financial institutions, public enterprises, foreign diplomatic missions, foreign central banks, foreign banks and international associations and institutions. The procedure for opening and operating such accounts shall be as prescribed by the Bank.

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[16]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

[17]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

Provided that the Bank shall not operate accounts for any individual, industry or political organization.

Chapter-3
Formation and Functions, Duties and Powers of the Board

14. Formation of the Board of Directors:–

There shall be a Board of Directors in the Bank consisting of the following members:–

(a) Governor – Chairperson

(b) Secretary, Ministry of Finance – Member

(c) Two Deputy Governors – Member

(d) Three Directors appointed by the Government of Nepal from among persons renowned in the fields of economics, monetary affairs, banking, finance and commercial law – Member

15. Appointment of the Governor:–

(1) The Government of Nepal, Council of Ministers, shall appoint the Governor on the basis of the recommendation of the Recommendation Committee formed under Sub-section (2).

(2) The Government of Nepal, Council of Ministers, shall form the following Recommendation Committee for the appointment of the Governor:–

(a) Finance Minister – Chairperson

(b) One person from among the former Governors – Member

(c) One person designated by the Government of Nepal from among persons renowned in the fields of economics, monetary affairs, banking, finance and commercial law – Member

(3) The Committee formed under Sub-section (2) shall, while making recommendation for the appointment of the Governor, recommend to the Government of Nepal, Council of Ministers, a list of the names of three persons from among the persons renowned in the fields of economics, monetary affairs, banking, finance, commerce, management and commercial law and the Deputy Governors.

(4) The Government of Nepal, Council of Ministers, shall appoint one person from among the names recommended under Sub-section (3) to the post of Governor.

16. Appointment of Deputy Governor:–

(1) The Government of Nepal, Council of Ministers, shall appoint the Deputy Governor on the recommendation of the Governor.

(2) While making recommendation for appointment to the post of Deputy Governor under Sub-section (1), the Governor shall recommend a list of names, in double the number of

the vacant posts, from among the special class officers of the Bank on the basis of their performance.

(3) A person appointed to the post of Deputy Governor under this Section shall be deemed to have automatically retired from the service of the Bank.

17. Appointment of Directors:–

(1) The Government of Nepal, Council of Ministers, shall appoint the Directors.

(2) While appointing the Directors under Sub-section (1), the Government of Nepal, Council of Ministers, shall make the appointment from among persons renowned in the fields of economics, monetary affairs, banking, finance, commerce, management and commercial law in such a manner that different fields are represented.

18. Term of office of Directors:–

(1) The term of office of the Governor, Deputy Governor and Directors shall be five years.

(2) If the Government of Nepal deems appropriate, it may reappoint a Governor whose term of office has expired for one more term, and a Director for any number of terms.

19. Remuneration and other facilities of Directors:–

The remuneration and other facilities of the Governor, Deputy Governor and Directors shall be as prescribed by the Board.

20. Qualifications of Directors:–

A person to be appointed to the post of Governor, Deputy Governor or Director shall possess the following qualifications:–

(a) Being a citizen of Nepal,

(b) Having high moral character,

(c) Having obtained at least a master's degree in economics, monetary affairs, banking, finance, commerce, management, public administration, statistics, mathematics [18]or law, and having gained work experience in the field of economics, monetary affairs, banking, finance [19]or commercial law,

Explanation: For the purpose of this clause, "work experience" means the experience of having worked in a special class post of the Government of Nepal or the Bank, or as a professor of a university, or as the chief executive of a class "A" commercial bank or financial institution, or in an executive level post of an international association or institution, or in a post equivalent thereto or higher than such post in terms of the order of precedence.

(d) Not being disqualified under Section 21.

[18]Amended by the Nepal Rastra Bank (First Amendment) Act, 2063.
[19]Amended by the Nepal Rastra Bank (First Amendment) Act, 2063.

21. Disqualification of Directors:–

None of the following persons shall be eligible to be appointed to the post of Governor, Deputy Governor or Director:–

(a) A member or office bearer of a political party, or

(b) A person who has been blacklisted in any transaction with a commercial bank or financial institution, or

(c) An incumbent office bearer of a commercial bank or financial institution, or

(d) A person holding five per cent or more of the shares or voting rights in a commercial bank or financial institution, or

(e) A person who has been declared insolvent for being unable to repay a debt,

(f) A person of unsound mind, or

(g) A person who has been convicted by a court of a criminal offence involving moral turpitude.

22. Circumstances in which Directors are removed from office:–

(1) The Government of Nepal, Council of Ministers, shall remove from office the Governor, Deputy Governor and Directors who have fallen in the circumstances of removal from office under Sub-section (5).

Provided that the Government of Nepal shall not, before so removing from office, deprive the person concerned of a reasonable opportunity to submit his or her defence.

(2) While removing the Governor from office under Sub-section (1), the Government of Nepal shall do so on the recommendation of the Inquiry Committee formed under Section 23.

(3) While removing a Director or Deputy Governor from office under Sub-section (1), the Government of Nepal shall do so on the basis of the recommendation submitted by the Board after causing the Board to carry out an investigation.

(4) As soon as the Government of Nepal initiates the process of removing the Governor, Deputy Governor or a Director from office under Sub-section (1), such person shall be deemed to have been automatically suspended from his or her office.

(5) The Governor, Deputy Governor and Directors shall be removed from office in any of the following circumstances:–

(a) If he or she becomes disqualified to be a Director under Section 21, or

(b) If he or she lacks the capacity to carry out, or cause to be carried out, the functions to be carried out by the Bank for achieving its objectives under this Act, or

(c) If he or she is found to have carried out an act that causes loss or damage to the banking and financial system of the country, or

(d) If he or she is found to have committed dishonesty or acted with mala fide intention in the functions of the Bank, or

(e) If his or her certificate has been revoked, or he or she has been barred from carrying on a profession, upon being held disqualified to carry on any profession or occupation by reason of misconduct, or

(f) If he or she remains absent from the meetings of the Board for more than three consecutive times without reasonable cause.

(6) The Governor, Deputy Governor and Directors shall not be removed for any reason other than the circumstances mentioned in Sub-section (5).

23. Formation, functions and duties of the Inquiry Committee:–

(1) Before removing the Governor from office under Sub-section (2) of Section 22, the Government of Nepal shall form the following Inquiry Committee and shall remove the Governor from office on the recommendation of such committee:–

(a) A person designated by the Government of Nepal from among the retired Justices of the Supreme Court – Chairperson

(b) Two persons designated by the Government of Nepal from among persons renowned in the fields of economics, monetary affairs, banking, finance, commerce and management – Member

(2) The Inquiry Committee may, before submitting its recommendation together with its opinion and conclusion to the Government of Nepal after holding an inquiry, take the statement of, or make inquiries with, the person concerned.

(3) The Inquiry Committee may itself determine the procedure to be followed in the course of the inquiry.

(4) The Inquiry Committee shall submit its recommendation together with its opinion and conclusion to the Government of Nepal within one month.

24. Resignation of Directors:–

The Governor, Deputy Governor or a Director may resign from his or her office by submitting a written resignation to the Government of Nepal.

25. Public notice of the appointment of the Governor:–

The Government of Nepal shall, normally one month before the office of the incumbent Governor falls vacant, make an appointment to the office of the Governor under this Act and publish and broadcast a public notice thereof.

26. Filling of vacant office:–

If the office of the Governor, a Deputy Governor or a Director falls vacant before the completion of the term of office, the Government of Nepal shall, by completing the process under this Act, appoint a suitable person to such office for the remaining term.

27. Acting Governor:–

If the Governor is unable to carry out the functions of the Bank by reason of death, resignation, illness, leave or any other reason, the Government of Nepal shall designate the senior Deputy Governor of the Bank as the acting Governor to carry out the functions of the Governor.

28. Meeting of the Board:–

(1) The meeting of the Board shall be chaired by the Governor.

(2) The meeting of the Board may be held as per the requirement of the Bank.

Provided that the meeting of the Board shall be held at least once a month.

(3) The meeting of the Board shall be called by the Governor.

Provided that if three Directors of the Board make a written request to call a meeting of the Board, the Governor shall call the meeting of the Board.

(4) The Board may frame separate Byelaws on calling, conducting, voting, keeping minutes and other procedures of the meeting of the Board.

(5) If the person chairing the meeting of the Board and at least three Directors are present, the quorum for the meeting of the Board shall be deemed to have been fulfilled.

Provided that one of the three Directors must be a Director under Clause (d) of Section 14.

(6) The decision of the majority shall be deemed to be the decision of the Board. In the event of a tie on any proposal, the person chairing the meeting shall give the casting vote.

29. Functions, duties and powers of the Board:–

The functions, duties and powers of the Board shall be as follows:–

(a) To formulate the monetary and foreign exchange policy,

(b) To make necessary decisions on the denomination, design, size and metal of bank notes and coins and the materials or other substances for printing notes, and to formulate the necessary policy in relation to their issuance,

(c) To make arrangements for causing the inspection and supervision of commercial banks and financial institutions, and to formulate necessary policies on the banking and financial system,

(d) To approve the Rules and Byelaws of the Bank and to formulate the policies applicable to the operation and management of the Bank,

(e) To determine policies on the appointment, promotion, transfer, dismissal, remuneration, pension, gratuity, provident fund, leave, conduct and other conditions of service of the employees of the Bank,

(f) To approve the annual programme and budget of the Bank and the annual audited accounts, and to submit the report thereof to the Government of Nepal for information,

(g) To approve the annual report on the functions of the Bank,

(h) To formulate policies on issuing and revoking licences of commercial banks and financial institutions,

(i) To approve the limit of credit to be provided by the Bank to the Government of Nepal,

(j) To determine the amount, limit and conditions of credit and refinance to be provided by the Bank to commercial banks and financial institutions,

(k) To make decisions on the membership of the Bank in international associations and institutions,

(l) To formulate the policy on mobilization and investment of the financial resources of the Bank,

(m) To submit a proposal to the Government of Nepal, stating the reasons therefor, if it appears necessary to amend this Act,

(n) To make decisions on all other matters except those falling within the jurisdiction of the Governor under this Act,

(o) To delegate the powers vested in the Board, with or without specifying a period, to the Governor or to a sub-committee formed by the Board.

30. Functions, duties and powers of the Governor:–

(1) The functions, duties and powers of the Governor shall be as follows:–

(a) To implement the decisions made by the Board,

(b) To operate and manage the Bank,

(c) To systematize the functions to be carried out by the Bank,

(d) To represent, or cause to be represented, the Bank in international associations and institutions,

(e) To implement, or cause to be implemented, the policies relating to monetary and foreign exchange matters,

(f) To determine necessary policies in relation to the interest rates on deposits and credits held in commercial banks and financial institutions,

(g) To determine necessary policies in relation to the interest rates to be charged or paid by commercial banks and financial institutions on credits or deposits,

(h) To formulate policies relating to the liquidity to be maintained by commercial banks and financial institutions,

(i) To make necessary arrangements on the basis, amount, method, conditions and time limit of the compulsory reserve to be maintained by commercial banks and financial institutions and on the use thereof,

(j) To determine the conditions relating to the capital fund adequacy of commercial banks and financial institutions,

(k) To make decisions in relation to the procedures and conditions to be followed while purchasing and selling gold and other precious metals,

(l) To determine the service charges on the services provided by the Bank,

(m) To make decisions on establishing and closing branch offices and other offices of the Bank as required,

(n) To establish and close agencies of the Bank,

(o) To make necessary arrangements in relation to the development and operation of the information system of the Bank,

(p) To make necessary arrangements in relation to the supervision of commercial banks and financial institutions,

(q) To make decisions in relation to revoking the licences issued to commercial banks and financial institutions,

(r) To make decisions on other matters subject to the powers delegated by the Board of Directors.

(2) The powers to be exercised by the governor of a central bank in accordance with international recognition shall be inherent in the Governor.

31. Delegation of powers:–

The Governor may, in order to operate the functions of the Bank smoothly, delegate the powers obtained by him or her under this Act to a Deputy Governor or other employees of the Bank.

32. Restriction on the use of vested personal interest:–

(1) The Governor, Deputy Governor and Directors shall, after being appointed to their offices, give information to the Board, as prescribed, every six months if the Governor, Deputy Governor or Director, or any member of his or her family, has any direct or indirect commercial interest.

(2) If any proposal in which the Governor, Deputy Governor or a Director has personal interest is to be discussed in the Board, he or she shall inform the Board about it before the commencement of such discussion. Such Director shall not be entitled to take part in such discussion.

(3) [20].....

(4) The Governor and Deputy Governors shall make public the details of the property of their joint family within one month from the date of appointment to, and of removal from, office.

33. Management Committee:–

(1) There shall be formed a Management Committee, chaired by the Governor, under the Board in order to operate the functions to be carried out by the Bank smoothly. The other members of the Management Committee shall include two Deputy Governors, and one senior officer of the Bank designated by the Governor to act as the member-secretary.

(2) The functions, duties and powers of the Management Committee formed under Sub-section (1) shall be as prescribed.

(3) Notwithstanding anything contained in Sub-section (1), the Governor may invite any other officer of the Bank to take part in the meeting of the Management Committee.

(4) The Board shall periodically evaluate the monetary and economic situation of the country in the course of performing its functions. For this purpose, the Management Committee shall submit to the Board, at least once a month, a report on the administration and operation of the Bank, on the operation of the monetary and regulatory policies, and on the implementation of such policies, including the health of the banking system of the country and the situation of the money, capital and foreign exchange markets, and the impact that such policies may have on the banking system, the situation and important events.

34. [21]Audit Committee:–

The Board shall form an Audit Committee, accountable to the Board, consisting of the following members:–

(a) One Director designated by the Board – Coordinator

(b) One expert in the related subject designated by the Board – Member

(c) Chief of the Internal Audit Department of the Bank – Member

35. Functions, duties and powers of the Audit Committee:–

(1) The functions, duties and powers of the Audit Committee shall be as follows:–

(a) To submit its report and suggestions to the Board in relation to the accounts, budget and audit procedures and the control system of the Bank,

(b) To audit the periodic balance sheet and other documents of the Bank and to ascertain whether such documents have been prepared properly or not,

[20]Omitted by the Nepal Rastra Bank (Second Amendment) Act, 2073.

[21]Amended by the Nepal Rastra Bank (Second Amendment) Act, 2073.

(c) To supervise the implementation of the appropriate risk management adopted by the Bank,

(d) To carry out regular management audit and performance audit of the administration and operation of the Bank in order to be assured that the prevailing law applicable to the Bank has been fully complied with,

(e) To frame Byelaws for the audit functions of the Bank in conformity with the prevailing law and international accounting standards and to submit them to the Board for approval.

(2) While submitting the report and suggestions to the Board under Clause (a) of Sub-section (1), the Audit Committee shall give information thereof to the Governor.

36. Employees of the Bank:–

(1) The Board shall appoint the employees necessary for operating the functions of the Bank smoothly.

(2) The conditions of service, remuneration and other facilities of the employees appointed under Sub-section (1) shall be as prescribed.

37. Professional code of conduct and official responsibility:–

(1) The Governor or Deputy Governor shall, so long as he or she holds office, provide his or her professional service fully to the Bank. Except where nominated by the Bank, he or she shall not be entitled to hold any kind of office, take up employment or provide service elsewhere, whether with or without remuneration.

Provided that this Sub-section shall not be deemed to bar the service provided by holding any office in professional and occupational associations and institutions formed with a not-for-profit objective, such as a medical association, engineers' association, bar association, bankers' association or chartered accountants' association.

(2) The Governor, Deputy Governor or a Director shall, while discharging his or her official responsibility, give paramount importance to the interest of the Bank.

(3) The Governor, Deputy Governor or a Director shall not, by himself or herself or through any person with whom he or she has family, business or financial relation, accept any kind of gift or credit that may cause any kind of undue influence in the course of discharging his or her duties.

38. Confidentiality:–

(1) The Governor, Deputy Governor, a Director, or an employee, advisor, auditor, agent or representative of the Bank shall not be entitled to do the following acts:–

(a) To give to others, or disclose the secret of, any published or unpublished confidential information or notice obtained while working in an official capacity, or

(b) To use such information or notice for personal benefit.

(2) Notwithstanding anything contained in Sub-section (1), the Bank may, in accordance with the procedure specified by it, bring to light any published or unpublished information known to it in the following circumstances:–

(a) Where such information is brought to light while performing its duties publicly, while assisting a law enforcement body, or by reason of an order of a court or an order of a competent authority,

(b) Where such information is given to the external auditor of the Bank and to employees of international financial institutions in the course of performing its duties, and

(c) Where such information is disclosed in the interest of the Bank in the course of legal proceedings.

Chapter-4
Financial Provisions

39. Capital of the Bank:–

(1) The capital of the Bank shall be [22]five hundred crore rupees.

(2) The capital of the Bank shall be obtained from the Government of Nepal, and such capital shall not be transferred or encumbered.

(3) The Government of Nepal may increase or decrease the capital under Sub-section (1). While so increasing or decreasing the capital, the Government of Nepal shall consult the Bank.

40. [23]Calculation of net income and expenditure:–

(1) The Bank shall prepare the statement of its income and expenditure in each fiscal year.

(2) While preparing the statement of income and expenditure under Sub-section (1), it shall be prepared in accordance with the Nepal Accounting Standards.

(3) Notwithstanding anything contained in Sub-section (2), in respect of the areas not covered by the Nepal Accounting Standards, the international accounting standards shall be taken as the basis.

(4) While preparing the statement of income and expenditure, the net income shall be ascertained by adjusting the income already received by the Bank, the expenditure borne or remaining to be borne by the Bank and the net valuation income or expenditure, and by deducting the provisions for bad or doubtful loans and the depreciation of assets.

[22]Amended by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[23]Amended by the Nepal Rastra Bank (Second Amendment) Act, 2073.

41. [24]Allocation of net income:–

(1) If the Bank earns net income in any fiscal year, such income shall be allocated and used as follows:–

(a) An amount equal to the revaluation gain shall be set aside from the net income in the revaluation reserve fund,

(b) After setting aside the amount under Clause (a), five per cent of the distributable net income so remaining shall be put in the monetary liability fund, an amount specified by the Board, not being less than ten per cent, in the general reserve fund, five per cent in the financial stability fund, and the amount specified by the Board in the net accumulated savings fund,

(c) After appropriating the amounts under Clause (b), the Board shall appropriate amounts from the remaining savings to other funds as required, and the amount so remaining shall be deposited with the Government of Nepal,

(d) While setting aside the amount in the general reserve fund, an additional amount shall be appropriated so as to also cover the capital expenditure mentioned in the annual budget of the Bank.

(2) The amounts of the general reserve fund and the accumulated savings fund may also be used for increasing the capital of the Bank.

(3) In relation to amounts other than those going to the funds under Sub-sections (1) and (2), it shall be as provided in the Rules.

42. [25]Allocation of net expenditure:–

(1) If, in any fiscal year, the expenditure of the Bank exceeds its net income, the excess net expenditure shall be allocated as follows:–

(a) If the net expenditure also includes revaluation income, the revaluation income shall be put in the revaluation reserve fund,

(b) If the net expenditure also includes revaluation expenditure, the revaluation expenditure shall be written off against the revaluation reserve fund. If the revaluation expenditure exceeds the amount in the revaluation reserve fund, the excess expenditure shall be written off against the following funds and accounts in order of priority:–

(1) Against the accumulated savings fund, up to the amount deposited in the accumulated savings fund,

(2) If any expenditure remains after adjustment against the accumulated savings fund under Sub-clause (1), against the general reserve fund, and

[24]Amended by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[25]Amended by the Nepal Rastra Bank (Second Amendment) Act, 2073.

(3) If any expenditure remains after adjustment against the accumulated savings fund and the general reserve fund under Sub-clauses (1) and (2), against the capital account.

(c) The operating and other expenditure, excluding the revaluation income under Clause (a) and the revaluation expenditure under Clause (b), shall be written off against the accumulated savings fund,

(d) If the expenditure exceeds the amount deposited in the accumulated savings fund, the excess expenditure shall be written off against the following fund and account in order of priority:–

(1) Against the general reserve fund, up to the amount in the general reserve fund,

(2) If any expenditure remains after adjustment against the general reserve fund under Sub-clause (1), against the capital account.

(2) The expenditure that could not be adjusted while allocating the expenditure under Sub-section (1) shall be borne by the Government of Nepal.

43. Annual budget:–

Before the commencement of each fiscal year, the Board shall approve the budget and programme of the estimated income and expenditure for the coming fiscal year. The Board may evaluate and amend the budget so approved every three months on the basis of the actual situation and the matters that can be anticipated. Such budget shall be sent to the Government of Nepal for information.

Chapter-5
Monetary Functions and Open Market Operations

44. Monetary policy:–

The Bank shall have full power to formulate, implement and cause to be implemented the monetary policy of Nepal[26].....

45. [27]Operation of open market transactions:–

(1) The Bank shall operate open market transactions by purchasing or selling, outright or with an agreement to repurchase or resell later, the debt securities issued on behalf of the Government of Nepal under an agreement, or the debt securities issued or specified by the Bank.

(2) While operating the open market transactions under Sub-section (1), the Bank may also carry out short-term liquidity management by entering into a repurchase agreement

[26]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.
[27]Amended by the Nepal Rastra Bank (Second Amendment) Act, 2073.

or reverse repurchase agreement against the security of the debt securities of the Government of Nepal or the debt securities issued by the Bank itself.

(3) The Bank may also issue other appropriate instruments for operating open market transactions.

46. Compulsory reserve of commercial banks and financial institutions:–

(1) The Bank shall issue directives to commercial banks and financial institutions to deposit a compulsory reserve with the Bank in proportion to the deposits held with them, the borrowed funds or other liabilities specified by the Bank. It shall be the duty of commercial banks and financial institutions to deposit with the Bank the compulsory reserve specified by the Bank.

(2) While calculating the compulsory reserve of commercial banks and financial institutions, the Bank shall do so on the basis of the daily average balance by specifying a period.

47. Failure to maintain compulsory reserve:–

If any commercial bank or financial institution fails to deposit the amount of compulsory reserve specified by the Bank, the Bank shall impose a fine on the commercial bank or financial institution concerned for the period of such failure. While so imposing the fine, the amount of fine shall not exceed three times the maximum bank rate specified by the Bank.

48. Discount transactions:–

(1) The Bank may carry out discount transactions on the following negotiable instruments submitted by commercial banks and financial institutions having accounts with it:–

(a) Promissory notes or bills of exchange bearing the signatures of at least two parties, including a commercial bank, payable within six months in Nepal[28].....,

(b) Debt securities issued by the Government of Nepal or the Bank, payable in Nepal[29]..... within six months from the date of their acquisition by the Bank.

(2) The discount rate, conditions and procedures applicable while carrying out discount transactions shall be as specified by the Bank.

49. Credit and refinance to commercial banks and financial institutions:–

(1) The Bank may, subject to the conditions and procedures determined by it, provide credit and refinance to commercial banks and financial institutions for a period of up to [30]one year against the security of the following assets:–

[28]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.
[29]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.
[30]Amended by the Nepal Rastra Bank (Second Amendment) Act, 2073.

(a) International negotiable instruments as mentioned in Clause (e) of Sub-section (1) of Section 66,

(b) Debt securities issued by the Government of Nepal payable in Nepal[31].....,

(c) Deposits held with the Bank, or gold and precious metals in which the Bank may transact under this Act,

(d) Bills of exchange or promissory notes under Sub-section (1) of Section 48, and

(e) Other securities as prescribed.

(2) [32]..... Notwithstanding anything contained in Sub-section (1), if the Government of Nepal, deeming it appropriate to provide credit for the interest and welfare of the general public, makes a request to the Bank and the Government of Nepal gives a guarantee of securities at the prevailing market rate for such credit, or if the Bank has to act as the lender of last resort, the Bank may, in extraordinary circumstances, provide credit of any kind to commercial banks and financial institutions for a period of up to one year.

[33](3) The credit provided under Sub-section (1) or (2) may, subject to the conditions as prescribed, be renewed for one additional year.

50. Discount rate and interest rate of refinance:–

The discount rate and the interest rate of refinance of the Bank shall be determined by the Bank from time to time. The Bank shall publish and broadcast a notice of the discount rate and the interest rate of refinance so determined for the information of all concerned.

Chapter-6
Monetary Unit, Bank Notes and Coins

51. Monetary unit:–

(1) The monetary unit of Nepal[34]..... shall be the rupee, and such rupee shall be divided into one hundred paisa.

(2) The rupee under Sub-section (1) shall be legal tender within Nepal[35]....., and such rupee shall be guaranteed by the Government of Nepal.

52. Power to issue bank notes and coins:–

(1) The Bank shall have the exclusive right to issue bank notes and coins within Nepal[36]..... Such notes and coins shall be legal tender in Nepal[37].....

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[31]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.
[32]Omitted by the Nepal Rastra Bank (First Amendment) Act, 2063.
[33]Inserted by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[34]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.
[35]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.
[36]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.
[37]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

(2) While issuing notes under Sub-section (1), the Bank shall issue them only by keeping security, and the liability of the notes so issued shall be equal to the value of the assets kept as security. At least fifty per cent of the assets to be kept as security shall be kept in one or more of gold, silver, foreign currency, foreign securities and foreign negotiable instruments, and the remaining percentage shall be kept in one or more of coins (of a mohar, a double and of higher denominations), debt securities issued by the Government of Nepal, and promissory notes or bills of exchange refinanced by the Bank and payable in Nepal itself within a maximum of eighteen months.

Provided that, if the Government of Nepal gives approval, at least forty per cent of the assets to be kept as security may be kept in one or more of gold, silver, foreign currency, foreign securities and foreign negotiable instruments, and the remaining percentage may also be kept in one or more of Nepalese coins (of a mohar, a double and of higher denominations), debt securities issued by the Government of Nepal, and promissory notes or bills of exchange refinanced by the Bank and payable in Nepal itself within a maximum of eighteen months.

(3) For the purpose of Sub-section (2), the valuation of the assets shall be made as follows:–

(a) Gold, at the rate determined by the Government of Nepal on the recommendation of the Board,

(b) Silver, at the rate held reasonable by the Board,

(c) Foreign currency, at the exchange rate determined by the Bank,

(d) Debt securities issued by the Government of Nepal, foreign securities and negotiable instruments, at the rate held reasonable by the Board having regard to the market rate,

(e) Coins, at their face value.

(4) The Bank shall issue bank notes of various denominations as required. While so issuing bank notes, the design, size and denomination appearing on the notes shall be as approved by the Government of Nepal, and the design not appearing on the notes, the arrangement of internal security, and the materials and other substances for printing bank notes shall be as decided by the Board.

(5) The Government of Nepal may, after taking the opinion of the Board, cause bank notes of any denomination not to be valid elsewhere except at any specified place or office, by publishing a notice in the Nepal Gazette.

(6) The Bank shall not reissue torn, defaced or soiled notes.

(7) The Bank may, with the approval of the Government of Nepal, cause coins of any value, measurement, weight, purity, design and metal or alloy to be minted in the mint for

circulation or on special occasions, and put them into circulation. The Bank may, if it deems necessary, also cause such coins to be minted in any foreign mint.

Provided that the approval of the Government of Nepal shall not be required to re-mint coins once minted with approval.

(8) The Bank may, with the approval of the Government of Nepal, mint coins sent by any foreign government for minting.

(9) The responsibility for redeeming the notes issued by the Government of Nepal before the establishment of the Bank and the bank notes issued by the Bank shall rest with the Bank.

(10) No liability other than the liability under Sub-section (9) shall be met from the assets kept as security for the issuance of bank notes.

53. Bank notes and coins to be universally acceptable:–

The bank notes and coins issued by the Bank as legal tender shall be universally acceptable within Nepal[38]..... up to the amount denominated on such notes or coins for the repayment of all kinds of public and private debts.

54. Measurement, weight and size of coins:–

The value to be denominated on the coins to be issued by the Bank under this Act, and their measurement, weight, size and other features shall be as specified by the Board.

55. Issuance and security of currency:–

The arrangements relating to the printing and minting of bank notes, the proper keeping and security of bank notes and coins not issued, and the safe keeping or destruction of old bank notes or coins, plates and dies not in circulation shall be as prescribed.

56. Arrangement for exchange of currency:–

The Bank shall, without charging any fee or charge, exchange the bank notes or coins which are legal tender within Nepal[39]..... for bank notes or coins of the same or different denominations of equal value.

57. Soiled or counterfeit currency:–

(1) The Bank may withdraw, destroy or exchange soiled currency for other bank notes or coins.

(2) Notwithstanding anything contained in Sub-section (1), the Bank may refuse to exchange bank notes or coins the design of which has been erased, or which are torn or mutilated, or more than fifty per cent of which is missing.

[38]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.
[39]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

(3) The Bank may withdraw or destroy the bank notes or coins under Sub-section (1), with or without giving compensation, as prescribed, to the owner of such bank notes or coins.

(4) The owner of lost or stolen bank notes or coins shall not have the right to get a replacement from the Bank. The Bank may confiscate, without giving any compensation, coins the external form of which has been altered, or counterfeit coins or fake notes.

Explanation: For the purpose of this Section, "counterfeit coin" means a fake coin struck, cast or engraved by imitating a coin issued by the Bank, or a coin issued by the Bank which has been cut or broken into two or more pieces, or on which the figures, letters and marks inscribed have been erased.

58. Arrangements relating to the stock and issuance of currency:–

The Bank shall carry out the arrangements relating to the stock and issuance of currency and the function of regularly supplying bank notes and coins to meet the demand for currency.

59. Keeping accounts of currency issued:–

The Bank shall separately show the total bank notes[40]..... in circulation as monetary liability in its accounts. The bank notes[41]..... and coins held in stock or not yet put into circulation shall not fall under such liability.

60. Withdrawal or taking back of issued currency:–

(1) The Bank may withdraw or take back the bank notes and coins in circulation within Nepal[42]..... by redeeming them. The Bank shall publish and broadcast a public notice clearly specifying the time limit within which, and the office of the Bank at which, the bank notes and coins so withdrawn or taken back are to be submitted for exchange.

(2) Notwithstanding anything contained in Section 53, the bank notes and coins required to be exchanged shall not be legal tender after the expiry of the time specified under Sub-section (1).

(3) The Bank may, as prescribed, burn, cut, break or destroy by any other means the bank notes and coins withdrawn from circulation under Sub-section (1) and defective currency.

61. Reproduction and counterfeit currency:–

(1) No one shall do, or cause to be done, any of the following acts:–

(a) To make fake currency, or a reproduction thereof, by forging, falsifying or altering the form of, or by any other means, the bank notes and coins which are legal tender

[40]Omitted by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[41]Omitted by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[42]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

in circulation within Nepal[43]....., or cheques or payment cards, or to do any act relating thereto, or to assist in any such act, or

(b) To keep with oneself, transport or issue, or to assist in any such act, bank notes or coins, cheques or payment cards, even with the knowledge that such bank notes or coins, cheques or payment cards have been made fake, soiled, falsified or forged or by altering their form, or

(c) To keep with oneself, produce or transport, or to assist in any such act, any metal sheet, stone, paper, die or any other goods or substances knowing that they are being used for making bank notes or coins, cheques or payment cards fake, false, falsified or forged or by altering their form.

(2) While reproducing a bank note, coin, cheque or payment card denominated in Nepalese rupees, or while creating any item, if the make of such item is likely to resemble a bank note, coin, cheque or payment card in any manner, prior approval of the Bank shall be obtained before doing so.

(3) The Bank may take necessary steps for preventing the issuance of fake notes, counterfeit coins, fake cheques or payment cards. While taking such steps, the Bank may issue necessary orders, directives or notices.

Chapter-7
Foreign Exchange Policy, Regulation and Reserves

62. Foreign exchange policy:–

The Bank shall have full power to formulate, implement and cause to be implemented the foreign exchange policy of Nepal[44].....

63. Foreign exchange management:–

The Bank shall manage foreign exchange. The Bank shall have the following powers for such management:–

(a) To issue licences, subject to this Act or other prevailing law, to persons who wish to carry on foreign exchange transactions,

(b) To frame Rules and Byelaws, and to issue necessary orders, directives or notices, in order to regularize and systematize the foreign exchange transactions carried on by licence holders,

(c) To inspect, supervise and monitor licence holders,

(d) To determine the basis, limits and conditions of the transactions of licence holders,

[43]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.
[44]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

(e) To specify the system for determining the foreign exchange rate of the Nepalese rupee.

64. Details of foreign exchange transactions:–

(1) The Bank shall cause licence holders to submit to the Bank the detailed particulars of foreign currency exchange and the operations relating thereto. The period and format for submitting such particulars and other documents related thereto shall be as specified by the Bank from time to time.

(2) It shall be the duty of the licence holder concerned to submit to the Bank the particulars under Sub-section (1) and the documents specified by the Bank.

65. Foreign exchange transactions:–

(1) The Bank may purchase or sell foreign exchange, gold and precious metals.

(2) The Bank may carry out the purchase and sale under Sub-section (1) through spot, forward exchange rate, swap, option or other instruments of a similar nature, cash or any negotiable instrument.

(3) The Bank may purchase or sell foreign exchange for the purpose of Sub-section (1) of Section 66. Such purchase or sale may also be made on the basis of spot, forward exchange rate, swap, option or other similar instruments.

(4) The Bank shall carry on transactions by fixing the purchase and sale rates of foreign currencies. The basis, limits and conditions of the transactions so carried on shall be as specified by the Bank.

66. Foreign exchange reserves:–

(1) The Bank shall mobilize the foreign exchange reserves. Such reserves shall be denominated in the foreign exchange concerned, and such reserves shall include the following assets:–

(a) Gold and precious metals held in the custody of the Bank or in the account of the Bank,

(b) Foreign currency held in the custody of the Bank or deposited in the account of the Bank,

(c) Foreign currency held in an account with a foreign central bank or other foreign bank in the name of the Bank,

(d) Special Drawing Rights (SDR) deposited in the International Monetary Fund in the name of the Bank,

(e) Bills of exchange, promissory notes, savings bonds, bonds and other debt securities held in the custody of the Bank, issued by any debtor or obligor and payable in foreign exchange,

(f) Agreements made with foreign banks or international financial institutions, or between the Bank and another party guaranteed by such institutions, for outright or repurchase, or for purchase in the future, payable in foreign exchange.

(2) While selecting the assets under Sub-section (1), the Bank shall do so in such a manner as to earn maximum income, having regard to the safety of capital and liquidity.

(3) While implementing the monetary and foreign exchange policy, the Bank shall maintain adequate international reserves necessary for prompt payment in international transactions.

(4) If the Bank apprehends that, by reason of the international reserves having decreased or reaching a situation of decrease, an adverse effect may be caused to the process of prompt payment in international transactions while implementing the monetary and foreign exchange policy, the Bank shall submit to the Government of Nepal a report stating the current situation of the international reserves, the reasons for such decrease and likely decrease, as well as the measures to be adopted to prevent the same.

(5) Until the situation under Sub-section (4) improves, the Bank shall, as required, prepare and submit to the Government of Nepal reports together with additional information.

(6) The Bank shall show the foreign exchange reserves under Sub-section (1) in its balance sheet.

67. Issuance of debt securities in gold and foreign currency:–

(1) The Bank may, with the approval of the Government of Nepal, issue debt securities of one or more types denominated in gold and foreign currency for any specific purpose.

(2) The type, period, payment of principal and interest and other matters of the debt securities to be issued under Sub-section (1) shall be as specified by the Bank.

68. International clearing and payment agreements:–

The Bank may, for its own account or, as directed by the Government of Nepal, for government accounts, enter into clearing and payment agreements with public or private central clearing institutions situated abroad. The Bank may also enter into other agreements necessary for implementing the objectives of such agreements.

Chapter-8
Relation with the Government of Nepal

69. Banker, advisor and financial agent:–

(1) The Bank shall be the banker and advisor on economic matters of the Government of Nepal and the financial agent of Nepal[45].....

[45]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

(2) The Government of Nepal shall consult the Bank on matters related to the jurisdiction of the Bank. It shall be the duty of the Bank to give advice on the matters so requested by the Government of Nepal.

(3) The Government of Nepal shall, while preparing the annual budget every year, consult the Bank in relation to overdrafts, including internal debt.

(4) The Bank shall, every year, submit to the Government of Nepal a pre-budget review report on economic and financial matters.

70. Consultation and information relating to external loans:–

(1) The Government of Nepal may consult the Bank while obtaining loans from the external sector.

(2) The consultation under Sub-section (1) shall include matters such as the amount of the loan, its receipt, the conditions or terms of borrowing and the repayment of the loan.

(3) The Government of Nepal shall give information to the Bank about the external loans obtained.

(4) The Government of Nepal shall consult the Bank while giving approval to private or public institutions to obtain external loans creating liability in foreign exchange.

(5) The Government of Nepal, public institutions or the private sector shall give the Bank information on the agreements made creating liability in foreign exchange.

71. Collection of deposits:–

(1) The Bank shall accept the deposits of the Government of Nepal or of other bodies specified by the Government of Nepal.

(2) While accepting deposits under Sub-section (1), the Bank shall carry out functions such as taking custody of money, making payments, operating accounts and providing other banking services.

(3) The Bank may, as required, authorize commercial banks and financial institutions to carry on the transactions under Sub-section (2) subject to compliance with the conditions specified by the Bank.

72. Functions of financial agent:–

The Bank shall, on the basis of an agreement made with the Government of Nepal and subject to the conditions or limits determined therein, act as the financial agent of the Government of Nepal in the following matters:–

(a) Transactions such as purchasing and selling, making market arrangements for, transferring and keeping records of the debt securities issued by the Government of Nepal,

(b) Payment of the principal, interest and other charges of the debt securities under Clause (a),

(c) Other necessary functions to be carried out as an agent.

73. Bank may demand particulars, statistics and documents:–

(1) The Bank may demand from the body concerned the particulars, statistics and documents necessary for carrying out its functions.

(2) It shall be the duty of the body concerned to provide the particulars, statistics and documents demanded by the Bank under Sub-section (1).

74. Bank may be consulted in relation to law reform:–

(1) The body concerned may consult the Bank before amending or making a law, or carrying out any act relating thereto, concerning matters such as monetary policy and operation, credit, balance of payments, foreign exchange and banking falling within the objectives or jurisdiction of the Bank.

(2) It shall be the duty of the Bank to give the advice requested under Sub-section (1).

(3) The Bank shall have the power to submit to the Government of Nepal a proposal for making a new law or amending an existing law on matters such as monetary policy and operation, credit, balance of payments, foreign exchange and banking falling within the objectives, jurisdiction or competence of the Bank.

75. Credit to the Government of Nepal and purchase of government debt securities:–

(1) Except as otherwise provided in this Act, the Bank shall not provide financial assistance of any kind to the Government of Nepal or to any institution fully, majority or partly owned by the Government of Nepal.

(2) Subject to this Section, the Bank may provide credit to the Government of Nepal, repayable within one hundred eighty days.

(3) Notwithstanding anything contained in Sub-section (2), the Bank may provide to the Government of Nepal a long-term special credit for the payment of fees to be paid, or payments related thereto, on Nepal being a member of any international institution.

(4) The Bank shall disburse the credit to be provided to the Government of Nepal or to an institution fully, majority or partly owned by the Government of Nepal only in Nepalese rupees. For the credit so provided, the Government of Nepal shall issue and provide to the Bank negotiable debt securities equal to the amount of such credit. The maturity period of such debt securities shall cover the period of the credit and shall be at the prevailing interest rate. A written agreement shall be made between the Bank and the Government of Nepal in respect of all credits so provided by the Bank to the Government of Nepal. Such written agreement shall clearly mention the total amount or limit of the credit, its conditions, the repayment period, the interest rate and other charges.

Explanation: For the purpose of this Section, "negotiable debt security" means a debt security issued in the form of a promissory note.

(5) The overdraft provided by the Bank to the Government of Nepal shall not, at any time, exceed five per cent of the revenue income of the Government of Nepal of the previous fiscal year. While calculating such revenue income, loans and borrowings, financial grants or financial assistance of any other kind and earnings from the sale of property shall not be included.

(6) The Government of Nepal shall repay the overdraft under Sub-section (5) within one hundred eighty days at the prevailing market interest rate, in cash or through marketable debt securities.

(7) The total amount of the debt securities purchased by the Bank from the Government of Nepal and held in its ownership shall not exceed ten per cent of the revenue income of the previous fiscal year.

(8) The debt securities issued by the Government of Nepal and purchased by the Bank in the following circumstances shall not be taken as loans provided to the Government of Nepal under Sub-section (7):–

(a) Where purchased from the secondary market for open market operations in accordance with the monetary policy of the Bank,

(b) Where purchased at the time of primary issuance, the Bank deeming it necessary to keep the market at an appropriate level, on condition of selling them within sixty days,

(c) In respect of the debt securities purchased from the Government of Nepal and held in its ownership by the Bank before Sub-section (7) came into force.

Chapter-9
Regulation, Inspection and Supervision by the Bank

76. Approval of the Bank to be obtained for accepting deposits or providing credit:–

(1) Any person, firm, company or institution shall, in order to accept deposits of any kind or provide credit, obtain approval from the Bank as prescribed.

(2) While granting the approval under Sub-section (1), the Bank may also determine the necessary conditions as prescribed and grant the approval, and it shall be the duty of the person, firm, company or institution concerned to comply with such conditions.

77. Restriction on interest rates:–

A person, firm, company or institution having the authority to accept deposits or provide credit under the prevailing law shall, while determining the interest rates to be paid on deposits or charged on credit, do so in accordance with the arrangements relating to interest rates specified by the Bank from time to time.

78. Licence to be obtained from the Bank:–

(1) Commercial banks and financial institutions shall obtain a licence from the Bank as prescribed in order to carry on banking and financial transactions.

(2) While issuing the licence under Sub-section (1), the Bank may also determine the necessary conditions as prescribed and issue the licence, and it shall be the duty of the licensed bank or financial institution concerned to comply with such conditions.

79. Regulation by the Bank:–

(1) The Bank shall have full power to regulate the functions of commercial banks and financial institutions.

(2) In relation to regulation under Sub-section (1), the Bank may frame Rules and Byelaws and issue necessary orders, directives and notices on the matters it considers necessary, and it shall be the duty of the commercial banks and financial institutions concerned to comply with such Rules, Byelaws, orders, directives and notices.

(3) The Bank shall issue necessary directives to commercial banks on the following matters and cause them to submit the following particulars:–

(a) Particulars of the accounts and books of account within the balance sheet, the books of account or commitments outside the balance sheet and income and expenditure, and the particulars of their ratios with the account heads,

(b) The conditions, restrictions or prohibitions imposed in relation to special types of credit or investment not falling within the limits specified by the Bank, or such credit or investment and commitments of a risk-bearing nature, the periodic reconciliation of assets and liabilities and off-balance-sheet heads, the position of foreign currency, spot and forward exchange rates, swaps, options or other instruments of a similar nature, and other procedures of electronic or other payment systems,

(c) Other particulars and documents specified by the Bank.

(4) The Bank shall issue necessary directives to financial institutions on the following matters and cause them to submit the following particulars:–

(a) Particulars of the accounts, books of account, profit and loss account, balance sheet and off-balance-sheet transactions and commitments and income and expenditure, and the particulars of their ratios with the account heads,

(b) The conditions, restrictions or prohibitions imposed in relation to special types of credit or investment, or credit or investment exceeding the limits specified by the Bank, risk-bearing commitments, the position of foreign currency, payments, and electronic or other procedures of payment systems,

(c) Other particulars and documents specified by the Bank.

[46](4a) The Bank may, for the purpose of preventing money laundering and financial investment in terrorist activities, issue necessary directives to commercial banks and financial institutions in relation to customer identification, classification and management of customer risk, limits on fund transfers, deposits, etc., and providing particulars of suspicious transactions to the Financial Information Unit established under the prevailing law relating to the prevention of money laundering.

(5) The Bank shall have the following powers in relation to commercial banks and financial institutions:–

(a) To implement the powers and responsibilities conferred by this Act and any other Act made for the licensing, supervision and regulation of commercial banks and financial institutions, to revoke the licences of commercial banks and financial institutions, and to take over by itself, or hand over to trusteeship, commercial banks or financial institutions which are about to become or have become insolvent,

(b) To examine or inspect and supervise, or cause to be examined or inspected and supervised, by any officer of the Bank or by a person designated by the Bank, the accounts, records, documents or other records of any commercial bank or financial institution in order to ascertain whether such bank or institution has carried on its transactions in conformity with this Act or the Rules or Byelaws framed under this Act or the orders or directives issued thereunder,

(c) To order the members of the board of directors, office bearers or employees of any commercial bank or financial institution to submit necessary information about their bank or institution if the Bank has to carry out inspection and supervision in relation to the transactions of such bank or institution.

80. Banking and financial system and credit control:–

The Bank may, from time to time, issue directives to commercial banks and financial institutions in relation to the banking and financial system, money and credit. It shall be the duty of commercial banks and financial institutions to comply with such directives.

81. Credit to be provided to the specified sectors:–

(1) Commercial banks and financial institutions shall provide credit to the sectors specified by the Bank from time to time, for the period specified by the Bank, as specified by the Bank.

(2) If any commercial bank or financial institution fails to provide credit, or provides less credit, under Sub-section (1), the Bank may recover from the commercial bank or financial institution concerned, as a penalty, the amount that would accrue on the amount not provided or provided less at the maximum interest rate charged on credit by such commercial bank or financial institution.

[46]Inserted by the Nepal Rastra Bank (Second Amendment) Act, 2073.

82. Information to be submitted to the Bank:–

(1) Commercial banks and financial institutions shall submit to the Bank, as specified by the Bank, the particulars of their transactions and financial position.

(2) The Bank may publish the particulars made available under Sub-section (1).

83. Approval to be obtained to issue debentures and financial instruments:–

(1) Commercial banks and financial institutions shall, while issuing debentures or financial instruments of any kind, obtain the prior approval of the Bank.

(2) While granting the approval under Sub-section (1), the Bank may specify necessary conditions, and it shall be the duty of the commercial banks and financial institutions concerned to comply with such conditions.

84. Inspection and supervision:–

(1) The Board shall frame and enforce inspection and supervision Byelaws of international standard for the inspection and supervision of the commercial banks and financial institutions licensed by the Bank.

(2) The Bank may at any time inspect and supervise, or cause to be inspected and supervised, any office of a commercial bank or financial institution. Such inspection and supervision may be carried out by deputing any officer of the Bank or an expert designated by the Bank to the office concerned, or also by calling for detailed particulars and information at the Bank itself.

(3) It shall be the duty of the commercial bank or financial institution concerned, or the director, office bearer or employee of such commercial bank or financial institution, to make available to, or allow to be seen or examined by, the officer or expert carrying out the inspection and supervision under Sub-section (2) or the Bank, within the time specified by such officer, expert or the Bank, the statements, statistics, particulars, information, particulars required for computer audit and other programmes and particulars created through electronic means, and the financial control system, or any other necessary documents demanded by such officer, expert or the Bank.

(4) The officer carrying out inspection and supervision under this Section or the Bank may cause any director, office bearer or employee of a commercial bank or financial institution to make a written statement in relation to the functions deemed necessary while carrying out inspection and supervision.

(5) The Bank or the officer carrying out inspection and supervision may issue necessary directives to the commercial bank or financial institution in relation to the matters found necessary while carrying out inspection and supervision. It shall be the duty of the commercial bank or financial institution concerned to comply with the directives so issued by the Bank or the officer carrying out inspection and supervision. The officer carrying out inspection and supervision shall give information of the directives so issued to the Bank as soon as possible.

[47](6) The officer or expert carrying out inspection and supervision under this Section shall submit the report of the inspection and supervision carried out by him or her to the Governor within the prescribed period.

(7) The report submitted under Sub-section (6) shall be submitted to the next meeting of the Board.

(8) The Board may make necessary decisions on the report submitted under Sub-section (7) and issue necessary directives to the Governor in relation to the steps to be taken in that respect. The responsibility of complying with, and causing compliance with, such directives shall rest with the Governor.

85. Exchange of mutual cooperation:–

(1) The Bank may, on the basis of reciprocity, exchange cooperation with the foreign supervisory authority concerned for the supervision of commercial banks and financial institutions falling within their respective supervisory jurisdictions.

(2) The Bank may exchange with the foreign supervisory authority the information or notices obtained for the purpose of supervision under Sub-section (1) without breaching confidentiality.

(3) The Bank may exchange mutual cooperation with other bodies regulating policies related to the financial system for the purpose of promoting the financial system.

86. [48].....:–

86A. [49]Commercial bank or financial institution to inform the Bank:–

If any commercial bank or financial institution is in a situation of falling into insolvency or liquidation under the prevailing law, or if such bank or financial institution becomes unable to pay any amount that it is required to pay, or becomes materially unable to fulfil any or all of the liabilities that it is required to fulfil, such commercial bank or financial institution shall immediately, within fifteen days, inform the Bank thereof.

86B. [50]Commercial bank or financial institution deemed to be problematic:–

If the Bank has received the information under Section 86A, or if the Bank is satisfied, from the inspection and supervision report under Section 84 or by any other means, that any of the following circumstances exists in any commercial bank or financial institution, the Bank shall, by giving written notice to such commercial bank or financial institution, declare it a problematic commercial bank or financial institution:–

[47]Amended by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[48]Repealed by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[49]Inserted by the Nepal Rastra Bank (First Amendment) Act, 2063.
[50]Inserted by the Nepal Rastra Bank (First Amendment) Act, 2063.

(a) If it is found to have carried out any act against the interest of the depositors, shareholders, creditors or the general public,

(b) If it fails to fulfil the financial liabilities that it is required to fulfil, or there is no possibility of fulfilling them, or it fails to pay the amount that it is required to pay,

(c) If it has become or is about to become insolvent, or is facing material financial difficulty,

(d) If it is found to have disobeyed or violated this Act, the prevailing law relating to commercial banks and financial institutions, other prevailing law, the conditions specified while issuing the licence, or the regulations, directives or orders of the Bank,

(e) If it is found to have obtained the licence by submitting false, fraudulent or incorrect documents or facts,

(f) If it fails to maintain the minimum capital fund under this Act, the prevailing law relating to commercial banks and financial institutions and the directives issued by the Bank from time to time,

(g) If legal proceedings relating to the dissolution (liquidation) [51]or winding up or insolvency of any commercial bank or financial institution have been initiated under the prevailing law,

(h) If, where proceedings for voluntary dissolution have commenced, there is undue delay in completing such proceedings,

(i) In the case of a commercial bank or financial institution established in association with a foreign commercial bank or financial institution, if such foreign commercial bank or financial institution falls into insolvency or dissolution, or a liquidator is appointed upon its dissolution, or the licence of such commercial bank or financial institution to carry on banking transactions is revoked under the law of the country concerned, or a partial or full restriction is imposed on its transactions, or it is found to have carried on banking transactions jointly with such commercial bank or financial institution, or

(j) If the Bank is satisfied that a situation exists which adversely affects the payments to be made, or the liabilities or functions and duties to be fulfilled, by the commercial bank or financial institution.

86C. [52]Bank may take action against a problematic commercial bank or financial institution:–

(1) If the Bank declares any commercial bank or financial institution problematic under Section 86B, the Bank may, notwithstanding anything contained in the Companies Act

[51]Inserted by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[52]Inserted by the Nepal Rastra Bank (First Amendment) Act, 2063.

and other prevailing law, [53]take the management of such commercial bank or financial institution under its control, or order the board of directors of the commercial bank or financial institution concerned to take any or all of the following actions:–

(a) To increase the paid-up capital by issuing new shares or by causing the amount remaining unpaid on the issued capital to be paid,

(b) To suspend, as required, the voting rights or other rights of the shareholders,

(c) To prohibit the distribution of dividends or other amounts to be provided to the shareholders for a specified period in order to increase the capital,

(d) To determine the limit on the distribution of bonuses, remuneration, compensation and other amounts to be provided to the directors and other senior office bearers,

(e) To make appropriate arrangements for the good governance, internal control and risk management of the commercial bank or financial institution,

(f) To prohibit, or specify limits on, the acceptance of deposits, the provision of credit or investment,

(g) To cause it to keep high ratios of capital adequacy and liquidity, or to prohibit business transactions, or to specify other necessary conditions,

(h) To limit the transactions of the commercial bank or financial institution, or to prohibit the sale of assets or the expansion of branches, or to cause any branch office within the country or abroad to be closed,

(i) To make necessary arrangements to reduce the risk of assets found to be qualitatively doubtful and of collateral or other assets the actual value of which has not been recorded,

(j) To prohibit acts causing loss or damage to the commercial bank or financial institution concerned by irregular means in violation of the prevailing law and the regulations of the Bank,

(k) To prohibit, for any specific period, any specific type of function among the functions which the commercial bank or financial institution is entitled to carry out,

(l) To require the prior approval of the Bank while making commitments involving the bearing of substantial liabilities in incurring major capital expenditures, or while incurring expenditure on contingent liabilities,

(m) To cause one or more directors, managers or employees to be removed as required,

(n) If, while issuing an order under Clause (m), the commercial bank or financial institution concerned does not remove the director, manager or employee mentioned

[53]Amended by the Nepal Rastra Bank (Second Amendment) Act, 2073.

in such order, the Bank may itself remove such director, manager or employee, notwithstanding anything contained in the prevailing law,

(o) To suspend the board of directors of the commercial bank or financial institution and take the management of such commercial bank or financial institution under its control, and to carry out or cause to be carried out the management and transactions of such commercial bank or financial institution by itself or through an officer appointed by it,

Explanation: "Appointed officer" means one or more persons, firms, companies or institutions appointed by the Bank to carry out the management and transactions of a commercial bank or financial institution taken under its control by the Bank under this clause.

(p) To cause a commercial bank or financial institution listed in the securities market to apply to have its name removed from the securities market,

(q) To prohibit the payment of principal and interest of the unsecured subordinated term debt of the commercial bank or financial institution,

(r) To carry out any other functions that the Bank considers necessary and appropriate.

(2) While issuing an order to remove a director, manager or employee of a commercial bank or financial institution under Clause (n) of Sub-section (1), or while taking the management of a commercial bank or financial institution under its control and suspending the board of directors of such commercial bank or financial institution under Clause (o), such director, manager, employee or board of directors shall not be deprived of a reasonable opportunity to be heard.

Provided that if it appears that giving such opportunity would adversely affect the interest of the commercial bank or financial institution, or its depositors, shareholders, creditors or the general public, nothing in this Sub-section shall be deemed to bar issuing an order to remove such director, manager or employee immediately from his or her office or service, or suspending the board of directors, notwithstanding anything contained in the prevailing law, and giving the opportunity to be heard as soon as possible.

(3) If, while hearing in relation to the action as mentioned in the proviso to Sub-section (2), such action does not appear reasonable, the Bank may annul or change the order under Clause (n) or (o) of Sub-section (1), or make any other appropriate decision.

(4) All expenses incurred by the Bank in taking any commercial bank or financial institution under its control under Clause (o) of Sub-section (1) and carrying out the management and transactions of the commercial bank or financial institution by any means mentioned in that clause shall be borne by the commercial bank or financial institution concerned.

(5) The period of the order issued by the Bank under Clause (o) of Sub-section (1) shall normally remain in force for up to two years unless extended by the Bank by another similar order.

(6) If the Bank has taken any commercial bank or financial institution under its control under Clause (o) of Sub-section (1), the Bank shall send its preliminary report and, thereafter, the annual reports prepared by the Bank or the officer appointed by the Bank, to the Government of Nepal for information.

(7) The Bank may, if it deems necessary, withdraw or annul the order issued under Clause (m), (n), (o) or (p) of Sub-section (1) by another order. While so issuing another order, the grounds and reasons for issuing such order and other necessary matters shall be mentioned in such order.

(8) The directors, managers or employees removed by the order of the Bank under Clause (n) of Sub-section (1) shall not be entitled to carry on any function or transaction by remaining in the post of director, manager or employee of such commercial bank or financial institution or in any post of any commercial bank or financial institution, or by being associated directly or indirectly by any other means.

(9) Any director, manager or employee removed under Clause (n) of Sub-section (1), or the members of the board of directors suspended under Clause (o), shall not be entitled to claim any remuneration or compensation from the date of such order under any prevailing law or under any agreement made directly or indirectly with them.

(10) The determination of the capital, and the valuation of the assets and liabilities, of any problematic commercial bank or financial institution shall be made in accordance with the basis, procedures and standards specified by the Bank.

86D. [54]Effect after the Bank takes a commercial bank or financial institution under its control:–

(1) Where the Bank, by issuing an order under Clause (o) of Sub-section (1) of Section 86C, takes the management of any commercial bank or financial institution under its control and carries out or causes to be carried out its management and transactions, the directors, managers and employees of such commercial bank or financial institution shall make available to the Bank or the officer appointed by the Bank the assets, property and all transactions of such commercial bank or financial institution and the particulars thereof, and all cooperation and facilities necessary for carrying out the transactions.

(2) Where the Bank has issued an order to take any commercial bank or financial institution under its control under Clause (o) of Sub-section (1) of Section 86C, the officer appointed to manage and operate such commercial bank or financial institution shall, within the scope of the order issued by the Bank and unless the Bank otherwise decides on such order, take the assets and transactions of such commercial bank or financial

[54]Inserted by the Nepal Rastra Bank (First Amendment) Act, 2063.

institution under his or her control and operate them in the name of such commercial bank or financial institution.

(3) Notwithstanding anything contained in the prevailing law, the officer appointed to manage and operate any commercial bank or financial institution taken under the control of the Bank may exercise, as required, all the powers conferred on such commercial bank or financial institution, its board of directors, shareholders or managers by the prevailing law and the memorandum of association and articles of association of such commercial bank or financial institution, and such officer may also exercise the powers to carry out the functions of the general meeting or special general meeting of such commercial bank or financial institution, or the powers which may be exercised in any other manner.

(4) So long as the order of the Bank taking the management of any commercial bank or financial institution under its control remains in force, the directors, managers or employees removed under Clause (n) of Sub-section (1) of Section 86C and the members of the board of directors suspended under Clause (o) thereof shall not, unless the officer appointed by the Bank to manage and operate such commercial bank or financial institution gives written approval, be entitled to be involved directly or indirectly in the management of such commercial bank or financial institution, or to receive any kind of remuneration or facility, throughout the period during which it remains problematic.

86E. [55]Reformative measures and powers to be exercised by the Bank or the officer appointed by the Bank:–

(1) Notwithstanding anything contained in the Companies Act and other prevailing law, where the Bank has issued an order to take any problematic commercial bank or financial institution under its control under Clause (o) of Sub-section (1) of Section 86C, the Bank itself or the officer appointed by the Bank to manage and operate it may, with the prior approval of the Bank, adopt or cause to be adopted one or more of the following reformative measures to restructure such commercial bank or financial institution:–

(a) To cancel or suspend any transaction being carried on within or outside the State of Nepal,

(b) To sell the assets of such commercial bank or financial institution to any other commercial bank or financial institution on the basis of the conditions and standards specified by the Bank,

(c) To terminate the service of the employees working in such commercial bank or financial institution, or to depute new employees in their place as required,

(d) If deemed necessary, to merge such commercial bank or financial institution into another commercial bank or financial institution, or to make arrangements for transferring any or all of the assets and liabilities of such commercial bank or

[55]Inserted by the Nepal Rastra Bank (First Amendment) Act, 2063.

financial institution to any other commercial bank, financial institution or any other body,

(e) To restructure such commercial bank or financial institution by increasing the capital by selling shares to other persons so as to reduce the participation of the existing shareholders, subject to the standards specified by the Bank, or by reconstituting the board of directors,

(f) To reduce the capital so as to reflect the actual value of the assets of such commercial bank or financial institution under Section 86H, and to adjust the face value of the shares in proportion to such capital,

(g) To carry out necessary managerial restructuring in the interest of the depositors, shareholders, creditors and the general public, or to carry out institutional restructuring by closing the branches and transactions of a commercial bank or financial institution which could not operate its transactions smoothly,

(h) To adopt or cause to be adopted other measures specified by it to make the problematic commercial bank or financial institution capable.

(2) Where any decision is to be taken against any commercial bank or financial institution under Clause (f) or (g) of Sub-section (1), a reasonable opportunity to be heard shall be given to the persons concerned before taking the decision on that matter.

Provided that if the Bank considers that giving a prior opportunity to be heard would adversely affect the interest of its depositors, shareholders, creditors or the general public, it shall take such decision and give the opportunity to be heard as soon as possible, and if reasons and grounds for the Bank to be satisfied come out from the hearing so held, such decision may be changed or annulled as required.

86F. [56]Power of the Bank to carry out remedial action:–

(1) The Bank shall, within one year after taking the control of a problematic commercial bank or financial institution under Clause (o) of Sub-section (1) of Section 86C, carry out or cause to be carried out the management audit or audit of such commercial bank or financial institution and publish the report thereof publicly.

(2) Notwithstanding anything contained in the Companies Act and other prevailing law, if the Bank is satisfied, on the basis of the management audit or audit report under Sub-section (1), that any commercial bank or financial institution taken under its control can be operated well, the Bank may, as required, carry out the following remedial actions:–

(a) To release the suspension of the board of directors suspended under Clause (o) of Sub-section (1) of Section 86C and order the same board of directors to carry out the management or transactions again,

[56]Inserted by the Nepal Rastra Bank (First Amendment) Act, 2063.

(b) To dissolve the board of directors suspended under Clause (o) of Sub-section (1) of Section 86C and cause the management or transactions to be carried out by forming a new board of directors from among the shareholders of such commercial bank or financial institution,

(c) To dissolve the board of directors suspended under Clause (o) of Sub-section (1) of Section 86C, and to call a general meeting of such commercial bank or financial institution and form or cause to be formed a new board of directors to carry out its management or transactions, or

(d) To adopt any other remedial measure that the Bank considers appropriate.

[57](3) The Bank may, on the basis of the management audit or audit report under Sub-section (1) or the report of the officer appointed by the Bank, and subject to the standards specified by the Bank, by publishing a public notice, order any shareholder to sell, distribute and transfer the ownership of the shares in his or her name to any person deemed appropriate by the Bank, so that he or she receives the price determined by a committee formed, as required, by also including the representatives of the Securities Board of Nepal and the Institute of Chartered Accountants of Nepal and other external experts.

(4) If, for any reason, the shares cannot be sold, distributed and transferred under Clause (a) of Sub-section (3), the Bank may confiscate such shares, and the Bank may sell, distribute and transfer the shares so confiscated to anyone else by such means as the Bank considers appropriate, also taking the opinion of the committee formed under Clause (a) of Sub-section (3).

(5) Where the decision under Sub-section (3) is to be taken against any commercial bank or financial institution, the Bank shall give a reasonable opportunity to be heard to the persons concerned before taking the decision on the proposed matter.

Provided that if the Bank considers that giving a prior opportunity to be heard would adversely affect the interest of such commercial bank or financial institution, or its depositors, shareholders, creditors or the general public, it shall take such decision and give the opportunity to be heard as soon as possible, and if reasons and grounds for the Bank to be satisfied come out from the hearing so held, such decision may be changed or annulled as required.

86G. [58]May be subjected to resolution:–

If, even while initiating action under Section 86C, adopting reformative measures under Section 86E or carrying out remedial action under Section 86F against any problematic commercial bank or financial institution, the Bank is satisfied that such commercial bank or financial institution has become unable to fulfil the liabilities to be fulfilled by it, or has reached a situation in which it cannot be operated well, the Bank may decide to subject

[57]Amended by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[58]Amended by the Nepal Rastra Bank (Second Amendment) Act, 2073.

such commercial bank or financial institution to the process of resolution under Chapter-9A.

86H. [59]Capital of a problematic commercial bank or financial institution may be reduced:–

(1) Notwithstanding anything contained in the Companies Act and other prevailing law or in the memorandum of association and articles of association of the problematic commercial bank or financial institution, if, after the Bank has taken a problematic commercial bank or financial institution under its control under Clause (o) of Sub-section (1) of Section 86C, the paid-up capital of such commercial bank or financial institution is found to have been eroded, or the amount to be paid by the shareholders has not been paid, or the liabilities of such commercial bank or financial institution are not covered by its assets, the Bank may reduce the share capital by cancelling the portion of the capital to the extent so eroded or not covered by the assets.

Provided that before so reducing the share capital, the Bank shall publish a notice thereof at least twice in a national level daily newspaper.

(2) [60].....

(3) While publishing the notice under Sub-section (1), the Bank shall give a time limit of thirty days to the shareholders who have not paid the amount of the paid-up value of shares to pay such amount. The Bank may proceed with the process of cancelling the shares of the shareholders who do not pay the amount demanded while issuing such notice, and the Bank may fix the minimum value of the share capital in respect of the shares of a commercial bank or financial institution which has fallen into insolvency, [61]or resolution or dissolution.

(4) If the Bank reduces the share capital of a problematic commercial bank or financial institution under Sub-section (1) or cancels shares under Sub-section (3), the memorandum of association and articles of association of such commercial bank or financial institution shall be deemed to have been automatically amended accordingly.

86I. [62]Right to appeal against the order of the Bank:–

(1) If the representative of the shareholders of a commercial bank or financial institution is not satisfied with any act, order, decision or action taken by the Bank or the officer appointed by the Bank under Section 86C, 86D, 86E, 86F or 86H, only such representative of the shareholders shall have the right to appeal to the Board against such act, order, decision or action within fifteen days.

[59]Inserted by the Nepal Rastra Bank (First Amendment) Act, 2063.
[60]Omitted by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[61]Inserted by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[62]Inserted by the Nepal Rastra Bank (First Amendment) Act, 2063.

Explanation: For the purpose of this Section, "representative of the shareholders" means a person elected by the shareholders from among themselves so as to represent at least twenty-five per cent of the shares of the paid-up capital existing at that time.

(2) No hearing shall be held on an appeal filed within the period under Sub-section (1) which does not represent at least twenty-five per cent of the shares of the paid-up capital existing at that time.

(3) Where an appeal has been filed with the Bank under Sub-section (1), the Board may, within thirty days from the date of receipt of such appeal, uphold, review or annul the act, order, decision or action taken by the Bank or the officer appointed by the Bank, by stating the relevant evidence, grounds and reasons.

(4) The Board shall give information of the decision made under Sub-section (3) to the representative of the shareholders concerned within fifteen days.

(5) Except where the Board has annulled the act, order, decision or action taken by the Bank or the officer appointed by the Bank under Sub-section (3), such acts and actions shall remain in force as they are.

(6) The decision made by the Board under Sub-section (3) on the appeal of the representative of the shareholders shall be final.

86J. [63].....:–

86K. [64].....:–

86L. [65].....:–

86M. [66].....:–

86N. [67].....:–

87. Establishment of information network:–

The Bank shall establish and operate an information network, as prescribed, for the promotion of the banking and financial system of Nepal[68].....

88. Establishment of Credit Information Centre:–

(1) The Bank may establish, or cause to be established, a Credit Information Centre for the following purposes:–

[63]Repealed by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[64]Repealed by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[65]Repealed by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[66]Repealed by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[67]Repealed by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[68]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

(a) To obtain information on the credit provided by [69]banks and financial institutions or cooperative institutions registered under the prevailing law relating to cooperatives, in order to maintain accuracy and appropriateness in the provision of credit,

(b) To exchange the information obtained under Clause (a) among [70]banks and financial institutions or cooperative institutions registered under the prevailing law relating to cooperatives for the purpose mentioned in that clause,

(c) To compulsorily make available to the Centre the list of names of borrowers who do not repay credit on time or who misuse credit,

(d) To compulsorily obtain information from the Centre before making an investment or providing credit exceeding the limit specified by the Bank,

(e) To blacklist, after verification by the Centre, the names on the list obtained under Clause (c), and to take necessary action in that respect, and

(f) To inspect, supervise and monitor whether or not each [71]bank and financial institution or cooperative institution registered under the prevailing law relating to cooperatives has exchanged such information and whether or not it has invested credit in accordance with such information, and to submit a report to the Bank.

(2) The Bank shall regularize and systematize the functions mentioned in Sub-section (1) as prescribed.

[72]Chapter-9A
Provisions relating to Resolution

88A. Power of the Bank to carry out resolution:–

(1) The Bank may take any commercial bank or financial institution under its control and proceed with its resolution in any of the following circumstances:–

(a) If it fails to pay its liabilities fully or partly,

(b) If, on the basis of supervisory analysis, it is in a situation where it cannot fulfil the liabilities to be paid within ninety days from the date of completion of the work relating to such analysis,

(c) If its liabilities exceed its net assets,

(d) If it incurs such a loss as cannot be covered even by all kinds of capital and funds specified by the Bank,

(e) If the Bank decides to subject it to the process of resolution under Section 86G.

[69]Amended by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.
[70]Amended by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.
[71]Amended by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.
[72]Inserted by the Nepal Rastra Bank (Second Amendment) Act, 2073.

(2) Only the Bank shall have the power to resolve, or cause to be resolved, the claims of the depositors and secured creditors against any commercial bank or financial institution.

(3) All expenses incurred while carrying out the work relating to the resolution of a commercial bank or financial institution shall be borne from the amount obtained by selling the assets of the bank or financial institution concerned.

88B. Provisions relating to the formation of the Special Administration Team:–

(1) If a decision is made to proceed with the resolution of any commercial bank or financial institution under Section 88A, the Bank may, for that purpose, form a Special Administration Team consisting of a maximum of three persons from among persons possessing the qualifications as prescribed, and take the commercial bank or financial institution concerned under its control through such team and proceed with the resolution.

(2) The Bank may remove all or any member of the Special Administration Team from office as prescribed if his or her work is not satisfactory.

(3) Before removing a member from office under Sub-section (2), he or she shall be given a reasonable time and an opportunity to be heard.

(4) If the Bank removes a member of the Special Administration Team from office before the completion of the work relating to resolution, it may appoint a person possessing the qualifications as prescribed to such position for the remaining period.

(5) The remuneration of the members of the Special Administration Team shall be as prescribed, so as to be linked with performance.

88C. Functions, duties and powers of the Special Administration Team:–

(1) The Special Administration Team shall have all the powers which the general meeting, board of directors, chief executive officer and other office bearers of the commercial bank or financial institution concerned are entitled to exercise.

(2) Subject to Sub-section (1), the Special Administration Team shall have the following powers in relation to the management of the movable and immovable assets of the commercial bank or financial institution concerned, the resolution of any assets and liabilities, and the operation of such commercial bank or financial institution:–

(a) To sell to new persons all or part of the shares of the commercial bank or financial institution remaining to be sold,

(b) To entrust to any other institution any specific function which may be carried out regularly from the point of view of operating any transaction and from the systemic point of view, or to establish a separate bridge institution or unit for a certain period for carrying out such function,

(c) To sell any or all transactions or assets of the commercial bank or financial institution concerned or of any subsidiary company of such commercial bank or financial institution,

(d) To sell the assets or rights of the commercial bank or financial institution concerned held with any other person or institution.

(3) The Special Administration Team shall also have the following other powers in relation to the commercial bank or financial institution in the process of resolution:–

(a) To cause the person concerned to submit the documents deemed necessary by the Special Administration Team in order to proceed with the resolution,

(b) To transfer, or cause to be transferred, the ownership of the shares or other instruments issued by the commercial bank or financial institution concerned,

(c) To transfer specific rights, assets or liabilities of the commercial bank or financial institution concerned to another person,

(d) To cancel the shares or other instruments issued by the commercial bank or financial institution concerned,

(e) To transfer into the name of any other person, on the basis as prescribed, the shares or other ownership instruments issued by the commercial bank or financial institution concerned or held by any or all of its shareholders,

(f) To issue preference shares or other capital instruments,

(g) To take all steps found necessary to protect and look after the assets of the commercial bank or financial institution concerned.

(4) While carrying out the work relating to the resolution of a commercial bank or financial institution under this Section, the Special Administration Team shall not be required to do the following:–

(a) To obtain the prior approval of any persons of the public or private sector, including the shareholders, depositors or creditors of the commercial bank or financial institution in the process of resolution,

(b) To notify any person, firm, company or institution except as otherwise mentioned in this Chapter.

(5) The Special Administration Team shall complete the work relating to resolution under this Act within one year of its commencement.

Provided that if any work relating to the resolution being carried out by the Special Administration Team cannot be completed within the specified time, the Bank may extend the term of the Special Administration Team on the basis of necessity and justification.

(6) The Special Administration Team may also carry out any or all of the following functions on behalf of the commercial bank or financial institution concerned:–

(a) To give continuity to the other functions being carried out by the commercial bank or financial institution, except collecting deposits and providing any credit,

(b) To suspend or close any function being carried out by the commercial bank or financial institution,

(c) To borrow, with or without pledging the assets of the commercial bank or financial institution as collateral,

(d) To stop the payment of the liabilities of the commercial bank or financial institution, or to determine limits therefor,

(e) To appoint or dismiss office bearers or employees necessary for the commercial bank or financial institution, or for professional advice,

(f) To call a meeting of depositors and creditors for the purpose of discussion and decision on the matters deemed necessary by the Special Administration Team,

(g) To carry out any legal defence in the name of the commercial bank or financial institution, or

(h) To carry out or cause to be carried out other necessary functions related to resolution.

(7) The Special Administration Team shall have full power to access and control the offices, books of account, records, assets and information technology systems of the commercial bank or financial institution concerned and its subsidiary companies.

(8) If the Special Administration Team considers it appropriate to merge all or the main assets of the commercial bank or financial institution under its control into any other commercial bank or financial institution, or to merge with each other by acquiring the assets of another commercial bank or financial institution, it shall submit an application with a proposal in that respect to the Bank in accordance with the prevailing law. On receipt of such application with the proposal, the Bank shall make a decision to accept or reject such application.

(9) Out of the amount available on the basis of the financial position of the commercial bank or financial institution, particulars of the amount that may be required for the estimated expenses to be incurred in the process of resolution and for other expenses under the prevailing law shall be prepared, and arrangements shall be made to refund or pay, at once or in instalments, the amount for the liabilities of matured deposits out of the amount that may be available for the payment of such liabilities. While so paying, depositors and creditors of the same class shall be treated equally.

(10) The procedures relating to the determination of the validity of claims submitted by depositors and creditors against the commercial bank or financial institution concerned, the payment of claims, the determination of liabilities and the return of the personal property of customers shall be as prescribed.

(11) Notwithstanding anything contained in the prevailing law, the Special Administration Team may, while selling the assets of a commercial bank or financial institution, determine the minimum price on the basis as prescribed and sell such assets, keeping a

transparent and professional approach, through one or more methods such as auction, sealed-bid proposal or negotiation.

(12) The Special Administration Team shall submit to the Bank, from time to time as prescribed, particulars including the financial particulars of the commercial bank or financial institution, the plan for the sale of the assets of such institution and its views thereon, the projection of the liabilities of such institution or the method of payment thereof, and the actual transfer of assets and the estimate of liabilities.

(13) If the Special Administration Team deems it necessary for issuing new shares of the commercial bank or financial institution concerned, selling assets, consolidating assets for securitization, making arrangements for the projection of liabilities or managing such functions, it may entrust such work to any body or company established under the prevailing law to carry out the work relating to asset management. It may also transfer to such body or company the power to sell the non-performing loans, assets difficult to value and liabilities of the commercial bank or financial institution concerned.

88D. Powers to be automatically suspended during the period of resolution:–

(1) The powers of the directors, chief executive officer and other office bearers of a commercial bank or financial institution in the process of resolution shall be automatically suspended for the period of resolution.

(2) Notwithstanding anything contained in Sub-section (1), the Special Administration Team may release the suspension of all or any of the directors, chief executive officer and other office bearers of the commercial bank or financial institution concerned and depute them to the work relating to resolution in order to carry out the functions specified by it.

(3) The Special Administration Team may, at any time, dismiss any person who does not comply with the directive given to work under Sub-section (2).

(4) A person dismissed under Sub-section (3) shall not be entitled to any remuneration or facilities from such bank or financial institution.

88E. Notice and registration of the work relating to resolution:–

(1) The Special Administration Team shall, within two days of commencing the work relating to resolution, give to each office of the commercial bank or financial institution concerned a notice containing the following particulars:–

(a) The date and time when it took the commercial bank or financial institution concerned under its control and commenced work,

(b) The fact that the authority and responsibility of the person previously authorized to carry on the financial transactions or management of the commercial bank or financial institution concerned, or to give directives in that respect, has been revoked,

(c) The method, time and place for the depositors to present their claims held in the commercial bank or financial institution concerned,

(d) The method, time and place for the depositors to get back their insured and secured deposits,

(e) The method, time and place for the secured creditors to present the claims to be received from the commercial bank or financial institution.

(2) The notice containing the particulars under Sub-section (1) shall be published publicly so that the stakeholders of the commercial bank or financial institution concerned may obtain the information. Such notice shall also be published in a national daily newspaper every week for four weeks.

(3) The Special Administration Team shall also send the information about the situation of the commercial bank or financial institution concerned having gone into the process of resolution and the change in the authorized officer of such commercial bank or financial institution and his or her authority to the Bank, the Office of the Company Registrar, the securities exchange market concerned, the institution established under the prevailing law to insure deposits and other bodies concerned for record.

88F. New balance sheet to be prepared:–

(1) The Special Administration Team shall prepare a new balance sheet of the commercial bank or financial institution which has gone into the process of resolution under Section 88A, so as to show its actual financial position, on the following basis:–

(a) On the basis of the net realizable value of the assets,

(b) By also adjusting the value of the liabilities to be distributed on the basis of priority under Section 88I.

(2) The method of determining the liabilities while preparing the new balance sheet under Sub-section (1) shall be as prescribed.

(3) The balance sheet prepared under Sub-section (1) and the detailed particulars relating thereto shall be submitted to the Bank as prescribed.

88G. Recommendation may be made for improving the financial condition of a commercial bank or financial institution:–

(1) If it appears that the completion of the process of resolution initiated in respect of any commercial bank or financial institution under this Chapter would have a negative effect on the overall financial stability or system, the Special Administration Team shall prepare a report mentioning that fact, including such situation and the steps to be taken in the future, and submit it to the Bank.

(2) If, after receiving the report under Sub-section (1), it appears that the resolution of such commercial bank or financial institution would have a negative effect on the overall financial stability or system and that the financial condition could improve if the

Government of Nepal invests in such commercial bank or financial institution, the Bank shall recommend that matter to the Government of Nepal along with its opinion.

(3) If the Government of Nepal invests in any commercial bank or financial institution on the recommendation of the Bank under Sub-section (2) and the financial condition of such commercial bank or financial institution improves, the Government of Nepal shall recover the amount of its investment by selling it to the private sector through bidding within a maximum of five years from the date of such improvement.

88H. Bridge institution or unit may be established:–

(1) If it appears appropriate to carry out the work relating to resolution by establishing or fixing a bridge institution or unit under Clause (b) of Sub-section (2) of Section 88C, the Special Administration Team may make a request to the Bank. If such request appears reasonable, the Bank may grant permission to carry out the work relating to resolution by establishing or fixing such bridge institution or unit.

(2) The institution or unit established under Sub-section (1) shall be deemed to hold the rights, liabilities and assets of the commercial bank or financial institution concerned and also the membership of any payment, clearing or settlement system obtained by such institution.

(3) The shareholders, creditors or any other persons of the institution or unit established under Sub-section (1) shall have no right of any kind in the assets or rights of the commercial bank or financial institution concerned.

(4) The functions, duties and powers of the bridge institution or unit and the remuneration and facilities to be received by the office bearers of such institution or unit shall be as specified by the Bank.

(5) None of the following shall be required for transferring the assets and liabilities of the commercial bank or financial institution concerned to a bridge institution or unit or any other institution:–

(a) Obtaining the consent of the creditors or any related party,

(b) Completing the procedures specified by the prevailing laws relating to companies and securities, or

(c) Completing the procedures specified in any contract to which the commercial bank or financial institution concerned is a party.

88I. Order of priority of payment:–

(1) The work of paying, and setting aside amounts for, the depositors, creditors and other persons found by the Special Administration Team, after evaluation, to be paid out of the amount obtained from the sale of the assets of the commercial bank or financial institution concerned in the process of resolution shall be carried out on the basis of the following priority:–

(a) The necessary expenses incurred in the process of resolution, including the expenses incurred by the Bank and the Special Administration Team for the implementation of the provisions of this Act, the expenses for the remuneration and facilities of employees, the fees of professionals engaged in that respect and other related expenses,

(b) The amount up to the deposit insurance coverage under the prevailing law, without exceeding the limit of the total approved claim amount of the depositor, or, if the institution established under law to insure deposits has paid such deposit amount to the depositor, an amount equal thereto,

(c) The deposits remaining after payment under Clause (b),

(d) The approved claims of persons recognized as secured creditors under law.

(2) While making payment in accordance with the order mentioned in Sub-section (1), if the amount is insufficient to pay the approved claims of any class, the amount shall be distributed proportionately to the claimants of the same class.

(3) While paying the claims of depositors or secured creditors, payment shall be made equally without discrimination on any ground such as nationality, place of residence or jurisdiction.

(4) The approved claims of secured creditors who submit their claims on time shall be paid, as the first priority, to the extent covered by the amount obtained from the sale of the assets held as security. The claims not covered by such security shall be treated at par with the claims of other creditors.

(5) For the purpose of bearing the liability relating to financial compensation that may arise under Sub-section (4) of Section 88L, the Special Administration Team shall open a separate account and deposit therein two per cent of the amount obtained from the sale of the assets of the commercial bank or financial institution concerned.

(6) The amount remaining after paying the depositors and secured creditors and setting aside the amount under Sub-section (5) shall be distributed proportionately by the liquidator appointed under Sub-section (3) of Section 88O, on the basis of the priority specified under the prevailing law, to the taxes, charges and fees to be paid under the prevailing law, the other creditors or approved claimants of such commercial bank or financial institution, and the shareholders or persons holding ownership in any other manner.

88J. Effect after the Special Administration Team takes a bank or financial institution under its control:–

(1) After the Special Administration Team takes a commercial bank or financial institution under its control, any act of establishing rights over the assets of such institution in respect of the claims of the depositors and creditors of such institution who cannot receive payment under Section 88I, or in respect of any receivable, shall be automatically stayed.

(2) Notwithstanding anything contained in Sub-section (1), transactions with persons involved in the clearing, payment and settlement system, acts relating to the transfer of assets, and matters not related to the process of resolution shall not be deemed to have been stayed.

(3) For the purpose of taking a commercial bank or financial institution into the process of resolution, except where any liability or security right has been created against such commercial bank or financial institution six months before the formation of the Special Administration Team, no right of anyone shall be deemed to have been created over any assets, liabilities or securities of such commercial bank or financial institution.

(4) Notwithstanding anything contained in Sub-section (3), nothing shall be deemed to bar any kind of liability or security created by the Special Administration Team over the assets of a commercial bank or financial institution in the process of resolution.

(5) After the formation of the Special Administration Team, all rights of the shareholders of, or persons holding any other kind of ownership in, the commercial bank or financial institution concerned shall automatically remain inactive until the process of resolution is completed.

(6) In respect of a commercial bank or financial institution in the process of resolution after the formation of the Special Administration Team, the provisions contained in the prevailing law relating to securities shall not apply.

88K. Actions taken before the commencement of resolution to be inactive:–

(1) The Special Administration Team may render inactive any transaction affecting the assets of the commercial bank or financial institution, or any transfer related to a third party, in the following circumstances:–

(a) Transactions or agreements made before the commencement of the process of resolution so as to be against the interest of the depositors or creditors of the commercial bank or financial institution concerned,

(b) Any transfers made by the commercial bank or financial institution without consideration to any shareholder, director, office bearer or their relatives up to five years before the date of commencement of the process of resolution,

(c) Any transfers made by the commercial bank or financial institution without consideration to any third party up to three years before the date of commencement of the process of resolution,

(d) Transactions concluded by the commercial bank or financial institution up to three years before the date of commencement of the process of resolution in such a manner as to receive comparatively less consideration or to give more consideration to the other party,

(e) Any act done up to five years before the date of commencement of the process of resolution so as to be against the interest of, or to infringe the rights of, the depositors of the commercial bank or financial institution,

(f) The transfer of assets in the name of any person made by the commercial bank or financial institution concerned up to six months before the date of commencement of the process of resolution with the intention of benefiting such person in respect of a loan to be repaid, or with the intention of increasing the amount to be received by such creditor in the process of liquidation.

Provided that the provision of this clause shall not apply in respect of the payment of deposits made without exceeding the amount covered by the insurance and security of each deposit.

(2) The Special Administration Team may annul the transactions carried out up to one year before the date of commencement of the process of resolution with the directors, office bearers or their close relatives of the commercial bank or financial institution so as to be against the interest of the depositors and creditors of the institution, or recover the amount thereof from them.

(3) Notwithstanding anything contained in Sub-sections (1) and (2), the Special Administration Team shall not annul transactions carried out by the commercial bank or financial institution concerned in the course of its ordinary business, or transactions in which appropriate and adequate consideration has been exchanged, or transactions which have not been paid until such institution goes into resolution.

(4) A person who has received assets from the transactions or transfers annulled under Sub-sections (1) and (2) shall immediately return such assets. If such assets are no longer with the person who received them, he or she shall deposit an amount equal to the value of such assets in the commercial bank or financial institution concerned. In the case of a person who carries out such transaction with any wrongful intention and does not immediately return the assets, or the value equal thereto, to the commercial bank or financial institution concerned after the transaction is annulled, a claim equivalent to that of a secured creditor shall subsist against him or her.

(5) The Special Administration Team may, while conducting the process of resolution, write to the body concerned to transfer any kind of movable or immovable property or rights. Where the Special Administration Team has so written, the body concerned shall register the transfer of title of, or transfer, such movable or immovable property or rights into the name of the commercial bank or financial institution concerned.

(6) The Special Administration Team may, while conducting the process of resolution, write to the body concerned to transfer any kind of movable or immovable property or rights. Where the Special Administration Team has so written, the body concerned shall register the transfer of title of, or transfer, such movable or immovable property or rights into the name of the commercial bank or financial institution concerned.

(7) When the Special Administration Team has been formed for the resolution of any commercial bank or financial institution and the process is going on, no one shall discontinue, or cause to be discontinued, goods and services such as electricity, water, telephone, house and land, means of transport and other goods and services provided before that, merely on the ground of not having received the amount for such goods and services. In respect of the payment for the goods and services so received, the Special Administration Team shall pay the arrears existing before going into the process of resolution to the service provider concerned.

88L. Other provisions relating to resolution:–

(1) Notwithstanding anything contained in the prevailing law, matters relating to a commercial bank or financial institution in the process of resolution shall be governed by this Act.

(2) No one shall obstruct, interfere with or intervene in, or cause to be obstructed, interfered with or intervened in, the access and control rights of the Special Administration Team. If anyone does or causes to be done such act, the Special Administration Team may request the administration or police concerned for necessary assistance. Upon receiving such request, the body concerned shall make necessary security arrangements and assist in maintaining the access and control of the Special Administration Team over the offices, assets, records, books of account and information technology system of such commercial bank or financial institution.

(3) Any party aggrieved by an act or action of the Special Administration Team or the Bank under this Chapter may file an application with the Court for compensation within sixty days from the date on which the Special Administration Team submits its report to the Bank or, where the Special Administration Team has been dissolved for any reason, from the date of such dissolution.

(4) The Court may cause reasonable financial compensation to be paid to the aggrieved party in the following circumstances:–

(a) Where any act or action has been carried out in excess of jurisdiction in the course of resolution,

(b) Where the process of resolution has not been completed in accordance with this Act,

(c) Where the action of resolution has been taken without adequate grounds and reasons.

(5) The Special Administration Team shall exercise the powers obtained by it under this Act in a transparent and just manner so as to be in the interest of the depositors and other claimants concerned.

(6) The remuneration and facilities to be received by a person representing, or assisting, the Bank or the Special Administration Team in the course of the process of resolution shall be as determined by the Bank.

(7) No depositor, shareholder or creditor shall be entitled to file any kind of case against any act done by the directors and office bearers of the commercial bank or financial institution concerned in the course of implementing the decision of the Bank or the Special Administration Team so as to assist the process of resolution.

(8) Notwithstanding anything contained in the prevailing law, the Bank may obtain information and particulars relating to any commercial bank or financial institution in relation to the process of resolution of such institution from any person, firm, company or institution of the government or private sector. If the Bank so orders, the particulars, including the main managerial information of any commercial bank or financial institution, the location of its technology and the sensitive and main functions carried out by such institution, shall be submitted to the Bank. It shall be the duty of the person, firm, company or institution concerned to provide any information so demanded by the Bank.

88M. Final particulars of the work relating to resolution to be submitted:–

(1) The Special Administration Team shall, within fifteen days after completing the work relating to resolution, or after the expiry of the term of such team, or after such team is dissolved for any reason, prepare the particulars of the acts and actions completed by it and of the income and expenditure of the commercial bank or financial institution concerned, including the particulars of the sources of financial transactions and their use and the particulars of the remaining assets and liabilities, cause them to be examined, and submit a report including the same to the Bank. Such report shall also include necessary suggestions on the steps to be taken by the Bank in the future in the context of such institution.

(2) After receiving the report under Sub-section (1), the Bank shall, also considering the suggestions mentioned in such report, make necessary decisions on whether to make arrangements for the operation of such commercial bank or financial institution under Section 88G or to file an application with the Court for its liquidation under Section 88O.

88N. Exchange of mutual cooperation:–

(1) The Special Administration Team may, with the prior approval of the Bank, request the body concerned of a foreign country for cooperation as required in the course of proceeding with the process of resolution of any commercial bank or financial institution.

(2) The Special Administration Team may, with the prior approval of the Bank, proceed with necessary actions in relation to the process of resolution of any commercial bank or financial institution so as to cooperate, on the basis of reciprocity, with actions being taken in another country, or to recognize the acts and actions being carried out by the authorized body of another country. While so cooperating or recognizing such acts and actions, the claimants shall be treated equally.

(3) Except where confidentiality is to be maintained and sensitive data are to be protected, the Special Administration Team may, with the prior approval of the Bank, exchange

information with the body concerned of a foreign country on matters such as the recovery of receivables and the resolution plan of the commercial bank or financial institution in the process of resolution.

(4) The Bank and the institution insuring deposits may also coordinate and exchange cooperation with each other in relation to the resolution of a commercial bank or financial institution established in Nepal and having branches or offices also abroad, or of any commercial bank or financial institution established in a foreign country and having branches or offices in Nepal.

(5) The Bank and the institution insuring deposits may, by entering into mutual agreements in relation to the resolution being carried out by the body concerned of a foreign country and the plan thereof, exchange any information or cooperation where such information or cooperation is requested about any event or problem affecting the commercial bank or financial institution under resolution.

(6) If, while obtaining any cooperation from, or making coordination with, a central bank, commercial bank or financial institution or deposit insuring institution of a foreign country on the basis of reciprocity under this Section, such cooperation and coordination is required at the government level, the Bank shall recommend to the Government of Nepal to make necessary arrangements in that respect.

88O. Application may be filed for liquidation:–

(1) If the process of resolution initiated by the Bank in respect of any commercial bank or financial institution is completed, or if, before the completion of such process for any other reason, the Bank is satisfied, also on the basis of the suggestions given by the Special Administration Team in that respect or other grounds, that such commercial bank or financial institution cannot be operated well, the Bank may file an application with the Court for the liquidation of such commercial bank or financial institution.

(2) Where the Bank has filed an application for liquidation under Sub-section (1), Sub-section (3) of Section 10 and Section 13 of the Insolvency Act, 2063 shall not apply in respect of the liquidation of such commercial bank or financial institution.

(3) Where the Bank has filed an application under Sub-section (1), the Court may issue an order to appoint a liquidator for the liquidation of such commercial bank or financial institution.

Chapter-10
Balance Sheet, Audit and Reports

89. Fiscal year:–

The fiscal year of the Bank shall be the same as the fiscal year of the Government of Nepal.

90. [73]Accounting system:–

(1) The Bank shall maintain the particulars of its income and expenditure correctly, in accordance with the accounting system as per the Nepal Accounting Standards, so as to clearly show its transactions and financial position.

(2) Notwithstanding anything contained in Sub-section (1), the international accounting standards shall be taken as the basis in respect of the areas not covered by the Nepal Accounting Standards.

91. Annual report:–

(1) The Bank shall prepare an annual report for each fiscal year, also disclosing the balance sheet, [74]income and expenditure and the particulars related thereto.

(2) The Bank shall submit the annual report under Sub-section (1) to the Government of Nepal within four months from the date of expiry of each fiscal year.

92. Audit:–

(1) The audit of the Bank shall be carried out by the Auditor General.

(2) The Board may, if it so wishes, also cause the internal audit of the Bank to be carried out by an external auditor. Such audit shall be carried out in accordance with the accounting system as per international practice.

93. Submission of reports to the Government of Nepal:–

(1) The Bank shall submit the following reports to the Government of Nepal within four months from the date of expiry of each fiscal year:–

(a) Audit report,

(b) Report on its functions,

(c) Report on the economic and financial situation.

(2) The Bank shall prepare and publish its monthly balance sheet within fifteen days after the expiry of each month.

94. Report on monetary policy:–

The Bank shall publish a report on monetary policy every year for public information. The report so published shall include the following matters:–

(a) Review and evaluation of the monetary policy adopted and implemented by the Bank in the previous year,

(b) Justification and analysis of the monetary policy to be adopted and implemented by the Bank in the coming year.

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[73]Amended by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[74]Amended by the Nepal Rastra Bank (Second Amendment) Act, 2073.

Chapter-11
Offences, Punishment and Proceedings

95. Offences under this Act:–

(1) If anyone accepts deposits or provides credit, or issues debentures or other financial instruments, in contravention of this Act or the Rules or Byelaws framed under this Act or the orders or directives issued thereunder, or charges or pays interest contrary to the policy determined by the Bank, or [75]....., carries on foreign exchange transactions, or is involved in such acts, [76]or carries on such transactions without obtaining a licence from the Bank where a licence is required to be obtained under the prevailing law, or obstructs the process of resolution under Chapter-9A, he or she shall be deemed to have committed an offence under this Act.

(2) Except as written in Sub-section (1), if anyone fails to comply with this Act or the Rules or Byelaws framed under this Act or the orders or directives issued thereunder, he or she shall also be deemed to have committed an offence under this Act.

96. [77]Punishment:–

(1) A person who commits an offence under Sub-section (1) or (2) of Section 95 shall be liable to confiscation of the claimed amount related to such offence and a fine of up to three times the claimed amount, or imprisonment for up to [78]seven years, or both.

(2) Where the claimed amount cannot be determined upon confiscation under Sub-section (1), a fine of up to ten lakh rupees or imprisonment for up to three years, or both, shall be imposed according to the gravity of the offence.

(3) If an offence under Section 95 is committed by any firm, company or institution, the punishment under Sub-section (1) or (2) shall be imposed on the office bearer of such firm, company or institution who has committed the offence.

(4) A person who attempts to commit an offence under Section 95, or who is indirectly involved in committing such offence, or a person who aids in committing such offence, or the office bearer of the firm, company or institution concerned who aids in committing the offence, shall be liable to half the punishment imposed on the principal accused.

97. Government of Nepal to be plaintiff:–

Cases relating to the offences mentioned in Section 95 shall be filed with the Government of Nepal as the plaintiff, and such cases shall be deemed to have been included in Schedule-1 of the [79]Muluki Criminal Procedure Code, 2074.

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[75]Omitted by the Act Amending, Integrating, Adjusting and Repealing Some Nepal Laws, 2074.
[76]Inserted by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[77]Amended by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[78]Amended by the Act Amending, Integrating, Adjusting and Repealing Some Nepal Laws, 2074.
[79]Transformed by the Act Amending, Integrating, Adjusting and Repealing Some Nepal Laws, 2074 and amended by the Act Amending Some Nepal Acts relating to Muluki Codes, 2075.

98. Bank to give information:–

If the Bank receives information through any means that anyone has committed an offence mentioned in Section 95, the Bank shall write to the Government of Nepal or the body concerned for necessary action.

99. Fine for violation of the regulation of the Bank:–

(1) If any commercial bank or financial institution licensed by the Bank violates this Act or the Rules or Byelaws framed under this Act or the orders or directives issued by the Bank thereunder, the Bank may impose on such commercial bank or financial institution a fine up to the amount related to such violation.

(2) If the violation of the regulation of the Bank under Sub-section (1) has been committed by a director, office bearer or employee of a commercial bank or financial institution, such fine shall be imposed on the director, office bearer or employee concerned.

100. Punishment for violation of the regulation of the Bank:–

(1) If any commercial bank or financial institution licensed by the Bank violates this Act or the Rules or Byelaws framed under this Act or the orders or directives issued by the Bank thereunder, the Bank may impose one or more of the following punishments on such commercial bank or financial institution:–

(a) To caution or give a written warning,

(b) To cause the board of directors to execute an undertaking to take reformative steps,

(c) To issue a written order to end repeated violations, to refrain therefrom and to take reformative steps,

(d) To suspend or terminate the services provided by the Bank,

(e) To prohibit the distribution of dividends by the commercial bank or financial institution to its shareholders,

(f) To impose a restriction on the deposits that the commercial bank or financial institution may accept or the credit that it may provide,

(g) To impose a partial or full restriction on the transactions of the commercial bank or financial institution,

(h) To suspend or revoke the licence of the commercial bank or financial institution.

(2) If a director, office bearer or employee of a commercial bank or financial institution licensed by the Bank violates this Act or the Rules or Byelaws framed under this Act or the orders or directives issued by the Bank thereunder, or acts against the interest of the depositors or the general public, or fails to submit within the specified time the documents, particulars or statistics demanded by the Bank or the officer carrying out inspection and supervision in the course of inspection and supervision, the Bank may impose the following punishments on such director, office bearer or employee:–

(a) To caution or admonish,

(b) To place under suspension,

(c) To impose a cash fine of up to five lakh rupees,

(d) To order the board of directors of the commercial bank or financial institution concerned to stop providing all facilities, including salary and allowances,

(e) To order the board of directors of the commercial bank or financial institution concerned to remove the director from the post of director, or to cause the office bearer or employee to retire from service.

100A. [80]Punishment for violation of regulation:–

If a cooperative institution having share capital exceeding fifty crore rupees, or having annual transactions equivalent to that amount, and mainly carrying on savings and credit transactions, violates an order or directive issued by the Bank under this Act and the prevailing law, the Bank may impose a fine under Section 99, or a punishment under Section 100, on such cooperative institution or on the director, office bearer or employee of such cooperative.

101. Procedure for financial penalty and punishment:–

(1) While imposing a financial penalty or punishment under Section 99 or Section 100, the Bank shall adopt the following procedure:–

(a) Before imposing the proposed punishment, the Bank shall give a written notice to the accused institution or person, giving a time limit of fifteen days to submit its defence on the proposed fine or punishment, mentioning the following matters:–

(1) The nature of the offence,

(2) The amount of the fine or the proposed punishment that may be imposed according to the nature of the offence, and

(3) A brief description of the offence.

(b) The institution or person accused under Clause (a) shall send a written response within fifteen days as to whether it agrees or disagrees with such charge,

(c) If the statement of disagreement expressed by the accused institution or person against the offence is satisfactory, the Bank may amend, limit or quash such charge,

(d) If the accused institution or person agrees with the offence, or fails to give a satisfactory response, the Bank shall impose such fine or punishment,

[80]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering (Money Laundering) and Promotion of Business Environment, 2080.

(e) The Bank may issue an order to recover the fine imposed under Clause (d) by deducting it from the account maintained by the commercial bank or financial institution concerned with the Bank.

(2) The cash fine received by the Bank under Clause (e) of Sub-section (1) shall be deposited in the general reserve fund.

(3) Notwithstanding anything contained in Sub-section (1), no procedure of any kind shall be required to be adopted while imposing the punishment under Clauses (a), (b), (c) and (d) of Sub-section (1) and Clauses (a) and (b) of Sub-section (2) of Section 100.

102. Appeal:–

A commercial bank or financial institution, or its director, office bearer or employee, not satisfied with the punishment imposed by the Bank under Section 99 or Section 100 may file an appeal with the [81]High Court within thirty-five days from the date of the punishment.

Chapter-12
Miscellaneous

103. [82].....:–

104. Collection of statistics:–

(1) The Bank may, in order to achieve its objectives and to perform its functions, collect the statistics necessary for it by itself or from the Government of Nepal or other bodies. For this purpose, the Bank may also obtain cooperation from authorized persons, associations and institutions and international associations and institutions within or outside [83]..... [84]Nepal.

(2) The Bank may make necessary arrangements to coordinate and refine the system of collection, storage and distribution of statistics related to its field of work.

105. Trust accounts:–

The Bank may open and operate a separate account as a trust account for special purposes. The amount deposited in such account shall not be used for any other purpose. The assets in such account shall be used only to fulfil the liabilities of such account, and the Bank shall not be entitled to use the amounts or assets held in other accounts to fulfil such liabilities.

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[81]Amended by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[82]Repealed by the Payment and Settlement Act, 2075.
[83]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.
[84]Amended by the Some Nepal Acts Amendment Act, 2072.

106. Acts and actions not to be invalid:–

No act or action of the Bank or the Board shall be invalid merely by reason of any irregularity in the appointment of the Governor, Deputy Governor or a Director or in the formation of the Board, or of the office of the Governor, Deputy Governor or a Director remaining vacant.

106A. [85]Not to work in a commercial bank or financial institution:–

(1) A person who has been the Governor shall not work in any capacity in any commercial bank or financial institution.

(2) A Deputy Governor and an executive director of the Bank shall not work in any capacity in any commercial bank or financial institution for three years, and an officer level employee of the Bank for two years, from the date of being removed from, or retiring from, his or her office.

Provided that after the expiry of the period specified in this Sub-section, the Deputy Governor, executive director or officer concerned shall obtain the prior approval of the Bank to work in any capacity in any commercial bank or financial institution.

(3) Notwithstanding anything contained in Sub-sections (1) and (2), this provision shall not apply to a post to which appointment is made by the Government of Nepal.

106B. [86]Expert service to be provided:–

If the Government of Nepal so requests, the Bank shall provide the service of the experts available with it.

106C. [87]Government of Nepal may issue directives:–

(1) The Government of Nepal may issue directives to the Bank in relation to money, banking and finance.

(2) It shall be the duty of the Bank to comply with the directives issued under Sub-section (1).

107. No liability for acts done in good faith:–

(1) The Governor, Deputy Governor, a Director or [88]an employee of the Bank or the Special Administration Team shall not be held liable, individually or collectively, in respect of any act or action done in good faith under this Act or the Rules or Byelaws framed under this Act or the orders or directives issued thereunder.

Provided that they shall be individually liable in respect of any act done knowingly or with wrongful intention.

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[85]Inserted by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[86]Inserted by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[87]Inserted by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[88]Amended by the Nepal Rastra Bank (Second Amendment) Act, 2073.

(2) If any kind of case is filed against the Governor, Deputy Governor, a Director or any officer or employee of the Bank in relation to any loss or damage caused or likely to be caused by anything done or intended to be done in good faith for complying with this Act or the Rules or Byelaws framed under this Act or the orders or directives issued thereunder, the expenses of such case shall be borne by the Bank.

Provided that the Bank shall not bear the expenses of a case filed in respect of any act done knowingly or with wrongful intention.

108. [89]Taking oath:–

(1) Before commencing the work of their office, the Governor and Directors shall take the oath of office and secrecy before the Chief Justice of the Supreme Court or a Justice designated by him or her, and the Deputy Governor before the Governor, in the format set forth in the Schedule.

(2) An employee or advisor appointed in the Bank for the first time shall, before commencing the work of his or her office, take the oath of office and secrecy as prescribed.

109. To be governed by this Act:–

Notwithstanding anything contained in the prevailing law, the matters written in this Act shall be governed by this Act.

110. Power to frame Rules and Byelaws:–

(1) The Bank may, with the approval of the Government of Nepal, frame necessary Rules on the following matters in order to implement the objectives of this Act:–

(a) Foreign exchange transactions,

(b) Exchange of burnt, torn, soiled, defaced or mutilated bank notes and coins,

(c) Business transactions between the Government of Nepal and the Bank,

[90](d) Other matters deemed necessary by the Board to implement the objectives of this Act.

(2) The Board may frame Byelaws on the following matters in order to implement the objectives of this Act:–

(a) The place and time of the meetings of the Board and the procedures relating thereto,

(b) The formation of sub-committees by the Board as required and the procedures of such sub-committees,

(c) The appointment, promotion, transfer, dismissal, remuneration and facilities, pension, gratuity, provident fund, leave, conduct and discipline and conditions of service of the employees of the Bank,

[89]Amended by the Nepal Rastra Bank (First Amendment) Act, 2063.
[90]Inserted by the Nepal Rastra Bank (First Amendment) Act, 2063.

(d) The delegation of authority by the Board to the Governor and by the Governor to the Deputy Governor or other employees of the Bank,

(e) The conditions relating to leases and undertakings to be made on behalf of the Bank,

(f) The use of the seal of the Bank,

(g) The accounts, ledgers, books or other records and documents to be maintained by the Bank and their format,

(h) The internal audit and inspection of the Bank,

(i) The supervision of commercial banks and financial institutions,

(j) The particulars to be submitted by commercial banks and financial institutions,

(k) The cash balance of the Bank or the responsibility for cash,

(l) The conduct of cases or other proceedings to be carried out on behalf of the Bank,

(m) Credit control,

(n) The expenditure system of the Bank,

[91](n1) Merger or acquisition of commercial banks and financial institutions with each other,

[92](n2) Prompt corrective action against commercial banks and financial institutions,

[93](n3) Credit information,

[94](n4) Payment and settlement,

[95](n5) Resolution,

[96](n6) Licences to be issued by the Bank,

[97](o) Other matters necessary to implement the objectives of this Act.

(3) Except for the matters mentioned in Sub-sections (1) and (2), the orders, directives, procedures and guidelines to be issued under this Act shall be issued by the Governor.

(4) The Bank shall send the Byelaws framed under Sub-section (2) and the orders and directives issued under Sub-section (3) to the Government of Nepal for information.

[91]Inserted by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[92]Inserted by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[93]Inserted by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[94]Inserted by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[95]Inserted by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[96]Inserted by the Nepal Rastra Bank (Second Amendment) Act, 2073.
[97]Inserted by the Nepal Rastra Bank (First Amendment) Act, 2063.

(5) The Bank shall publish and broadcast, or cause to be published and broadcast, publicly the Byelaws framed under Sub-section (2) or the orders or directives issued under Sub-section (3).

111. Guidelines to be framed and implemented:–

The Bank may, in order to implement the objectives of this Act, frame and implement necessary guidelines from time to time, subject to this Act or the Rules or Byelaws framed under this Act.

112. Repeal and saving:–

(1) The following Acts have been repealed:–

(a) Nepal Rastra Bank Act, 2012,

(b) Currency Act, 2040.

(2) All acts and actions done under the Acts repealed under Sub-section (1) shall be deemed to have been done under this Act.[98]

[99]Schedule
(Relating to Sub-section (1) of Section 108)

Format of Oath

I, ..., having been appointed to the post of ..... of the Nepal Rastra Bank, do hereby solemnly swear in good faith, by my conscience and in the name of truth, that I shall honestly perform the duties of the said post of ..... and shall always keep in mind the interest of the Bank; that I shall not disclose anywhere the transactions of the Bank and the matters which are to be kept confidential; and that, except where authorized by the Board of Directors in the capacity of ..... or where compelled by law, I shall not, directly or indirectly, give to anyone in any manner any information and notice which has come to my knowledge, whether or not I continue to hold the office.

Signature of the office bearer taking the oath:

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[98]Note: 1. Section 7 of the Nepal Rastra Bank (First Amendment) Act, 2063 reads as follows: "7. Consequence of the repeal of the Nepal Rastra Bank (First Amendment) Ordinance: Upon the Nepal Rastra Bank (First Amendment) Ordinance, 2062 becoming inoperative, unless a different intention appears, such inoperativeness shall not,– (a) revive anything not in force or existing at the time when the Ordinance became inoperative, (b) affect anything in operation under the Ordinance or anything duly done or suffered thereunder, (c) affect any right, privilege, obligation or liability acquired, accrued or incurred under the Ordinance, (d) affect any penalty, punishment or forfeiture imposed under the Ordinance, (e) affect any act, action or remedy taken in respect of any such right, privilege, obligation, liability, penalty or punishment as aforesaid, and any such legal proceeding or remedy may be instituted, continued or enforced as if the Ordinance had remained in force." 2. Words transformed by the Some Nepal Laws Amendment Act, 2063: "Nepal Government" in place of "His Majesty's Government". 3. Words transformed by the Act Amending, Adjusting and Repealing Some Nepal Laws, 2074: "Schedule-1 of the Muluki Criminal Procedure (Code) Act, 2074" in place of "Schedule-1 of the Government Cases Act, 2049".

[99]Amended by the Nepal Rastra Bank (First Amendment) Act, 2063.

Name:

Post:

Date:

Signature of the office bearer administering the oath:

Name:

Post:

Date:

Seal: